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Pret Parent Holding Limited

Annual Report and Consolidated Financial Statements

52 week Period ended 1 January 2026

Company number 13383544

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Pret Parent Holding Limited
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Pret Parent Holding Limited
Strategic Report
For the 52 week period ended 1 January 2026

The Directors present their Strategic Report of Pret Parent Holding Limited (the "Company" or "PPH") and its subsidiaries (collectively "the Group" or "Pret") for the 52 week period ended 1 January 2026 (53 week comparative period end date 2 January 2025)

Business review and principal activity

Financial Measures

System Sales[1]	Growth	Revenue	Growth
£1,199m	**0%**	**£854m**	**(2)%**
2024 £1,199m		2024 £868m	

Pre-IFRS16 Adjusted EBITDA[2]	Growth	Operating Profit/(Loss)
£99m	**1%**	**£37m**
2024 £98m		2024 £(452)m

Non-Financial Measures

Shop count[3]	Growth
754	**5%**

[1]System Sales refers to the total sales to customers made by all Pret shops, including both equity and franchise partner sales System sales growth refers to the year-on-year growth in system sales
[2] Pre-IFRS16 Adjusted EBITDA has been defined in note 11 with the alternative performance defined in note 3 7
[3]Shop count includes both equity and franchise stores Shop count growth refers to the year-on-year growth in shop counts

The principal activity of the Group is to offer freshly prepared, high-quality food and barista-prepared drinks in convenient and welcoming settings The Group operates in three core markets (i) the United Kingdom and Ireland ("UK&I"), (ii) North America, and (iii) Europe, Asia, Middle East, and Africa ("International") under the name of Pret A Manger ("Pret") The Pret estate stands at 754 shops across 21 countries, a 5% increase year-on-year, and continues to grow through disciplined opening of company operated and franchised shops

Pret offers a curated menu, inspired by consumer trends and insights, and developed by Pret's Food and Coffee team, including a wide selection of sandwiches, hot food, salads, soups, baked goods, snacks, organic Arabica coffee and teas At the end of each day, Pret donates the majority of its unsold packaged foods to homeless charities in its local markets

Reported results were impacted by foreign exchange movements (reflecting the depreciation of international currencies against Sterling) and by Pret's shorter 52-week financial year in 2025 (versus 53 weeks in the 2024 financial year)

On a constant currency basis and adjusted for the reduced week in the financial year

- System sales grew 2 7% The growth was driven primarily by expansion of the global shop estate and higher shop sales in the UK, partially offset by the performance of Empire JointStar, Inc ("EJI"), Pret's now-terminated partnership with Dallas Holdings in the US, with the shops reacquired by Pret
- Revenue grew 0 1% Reported revenue was impacted by the divestment of 16 company-owned UK shops to franchise partners in 2024 and 2025 While this does not affect system sales, it reduces

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revenue because the full sales from divested shops are replaced by franchise royalty income only As a result, system sales are a more representative indicator of trading performance

Pre-IFRS 16 Adjusted EBITDA grew 1% to £99 million, driven primarily by operational efficiencies offsetting significant increases in national minimum wage, other labour costs, and food inflation

Financial performance and position

The Group's Consolidated Income Statement for the 52 week period ending 1 January 2026 is set out on page 39 The Group's Consolidated Statement of Financial Position as at 1 January 2026 is set out on page 41

The Group's revenues for the period were £854 1 million, down from £868 4 million in 2024

The Group's statutory operating profit for the period was £36 9 million (2024 loss of £451 5 million)

Adjusted earnings before interest, tax, depreciation and amortisation ("Adjusted EBITDA") for the period was £169 0 million (2024 £159 2 million) Pre-IFRS 16 Adjusted EBITDA for the period was £98 7 million (2024 £97 5 million) As defined in note 3 7, Adjusted EBITDA is an Alternative Performance Measure that is not defined by International Financial Reporting Standards It excludes the impact of impairments, share-based payments, and other adjusting items Pre-IFRS 16 Adjusted EBITDA excludes, in addition to the items listed above, the impact of IFRS 16 on Adjusted EBITDA Please refer to note 11 of the consolidated financial statements for further information

Key performance indicators

The Group CFO provides regular updates on progress against the key performance indicators to the Global Leadership Team ("GLT")

The below results reflect trading against KPIs for the Group for the current and prior periods

Group		52 week period ended 1 January 2026	53 week period ended 2 January 2025
Financial KPIs			
System sales	£	1,198 6 m	£ 1,199 2 m
System sales growth		(0.1)%	9.7 %
Revenue	£	854 1 m	£ 868 4 m
Operating profit/(loss)	£	36 9 m	£ (451 5) m
Adjusted EBITDA (see note 11)	£	169 0 m	£ 159 2 m
Pre-IFRS 16 EBITDA (see note 11)	£	98 7 m	£ 97.5 m
Non-financial KPIs			
Shop count (including franchise partner shops)		754	717
New shop openings (including franchise partner shops)		68	86

The increase in operating profit is attributed to an improvement in operating efficiencies along with a decrease in non-cash charges

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Future developments

In 2026 Pret expects to continue growing its business and driving sales by opening company owned and franchise shops in its three core markets, delivering value for customers, improving menu range and innovation, and maintaining operational excellence

We are closely monitoring the ongoing conflict in the Middle East and the potential implications for global energy markets and key supply routes These developments may contribute to volatility in fuel, energy and certain commodity prices, as well as potential disruption to the availability and cost of food and other inputs We continue to assess these risks as they evolve and will be taking appropriate actions to mitigate potential impacts on the supply chain, cost base and operations

Principal risks and uncertainties

The Board of Directors of the Company ("the Board") is responsible for identifying the Group's significant risks and for ensuring that appropriate internal controls and risk management structures are in place The day-to-day management of these risks and implementation of relevant processes and controls is delegated to the management team

The risks and uncertainties described below represent those which the Directors consider to be the most significant to the Group and are subject to regular review by the Board This list is not exhaustive and there may be additional risks and uncertainties currently not known to the Directors The Group also monitors a broader range of risks which could have an adverse effect on the Group These include people and teams, IT system failure, data protection, data integrity and reliability, financial controls and governance, and ESG and sustainability commitments These risks are monitored through the Group's established risk management and governance framework and reported to the Board as appropriate

Food Safety Management

The Group's business is built on fresh, wholesome ingredients sourced from reputable suppliers There is a potential risk of product contamination or failure to meet regulatory safety standards during sourcing, production, storage, distribution, or in shops Such occurrences could result from supplier non-compliance, lapses in hygiene controls, equipment failure, or human error

Management mitigates these risks through robust food safety management systems, including supplier oversight, regular staff training, quality and hygiene controls, and ongoing monitoring

Cybersecurity

The Group relies on digital systems and third-party providers to support operations, payments, and the processing of customer and employee data Cybersecurity threats, including ransomware, phishing, and third-party system compromise, could result in unauthorised access, operational disruption, data loss, regulatory penalties, or reputational damage

Management mitigates these risks through robust detection and response capabilities, enhanced monitoring and access controls, third-party oversight, business continuity planning, and ongoing technology improvements to support system resilience

Supply Chain Failures

The Group relies on its suppliers and warehouse facilities to maintain the availability and quality of ingredients and products Disruptions such as supplier insolvency, transportation delays, quality issues, severe weather events, or geopolitical events could affect operational continuity across multiple shops and markets

Management mitigates these risks through supplier oversight and performance monitoring, contingency planning for core ingredients, business continuity planning for warehouses and maintaining a flexible menu and product range to adapt quickly to supply constraints

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Capital Structure & Liquidity

The Group relies on debt financing and the maintenance of sufficient liquidity to support operations and financial obligations A deterioration in trading performance, unexpected cash outflows, or changes in financing conditions could reduce financial flexibility, place pressure on covenants, or, in extreme cases, affect the Group's ability to meet its obligations

Management mitigates these risks through disciplined capital and cash flow management, proactive liquidity forecasting, ongoing engagement with lenders, and oversight of capital expenditure in line with the Group's funding and capital allocation policies

Section 172 statement

The Pret Group of companies consists of Pret Parent Holding Limited (the "Company") and its subsidiaries (the "Group") The Pret Group operates in three core markets the UK & Ireland ("UK&I"), North America and Europe, Asia , Middle East and Africa ("International") under the name of Pret A Manger ("Pret")

As the principal activity of the Company is to act as a holding company for the subsidiaries within the Group, the Company has had no commercial business and has no employees and as such, the breadth of stakeholder considerations that would often apply in an operating or commercial trading company has generally not applied to the decisions made by the Directors Whilst the importance of giving due consideration to its stakeholders is not new, this statement explains in more detail how the Group engages with and considers its stakeholders Effective engagement with stakeholders is crucial to fulfilling the Group's purpose, which is disclosed within the Corporate Governance Statement

In considering the Group's purpose, vision and values, together with its strategic priorities and having a process in place for decision-making, it aims to ensure its decisions are consistent and consideration of the Section 172 duties is always applied

Key stakeholders and engagement

The key stakeholders of the Group are its employees, charities, customers, suppliers, landlords, partners, franchisees, local communities, external finance providers and shareholders Essential to all these interests is effective engagement and communication The Board and subsidiaries' boards understand the need to review regularly the identity of Pret's stakeholders, as they make decisions Keeping the interests of stakeholders at the forefront of decision-making is highly important in accordance with its Section 172 duties

Principal decisions

Principal decisions are delegated to the Group's Global Leadership Team ("GLT"), except where they cannot be delegated under the Companies Act 2006 For each principal decision, a stakeholder impact assessment is undertaken, detailing the impact on key stakeholders, how each key stakeholders' interest was considered throughout the assessment process, any risks identified and resulting actions proposed to be taken to monitor and mitigate those risks Consideration is given to any potential impacts on subsidiary companies' reputation and how that impact will be monitored Once the principal decision has been assessed, the GLT consider and approve the principal decision if deemed fit, with due regard to the outcome of the stakeholder impact assessment Ultimate responsibility for making principal decisions lies with the respective subsidiary company's board and the GLT will report back to the subsidiaries' boards on a quarterly basis, as part of the wider risk management and internal controls of the Group, allowing the subsidiaries' boards to demonstrate oversight of the delegated responsibilities

In addition to the Pret values described in the Corporate Governance Statement, and to support further effective decision-making, the Directors and the GLT will take into account Pret's group-wide and local policies and practices, including Anti-Bribery & Corruption Policy, Whistleblowing Policy and Equal Opportunities Policy, when making decisions on behalf of the Company, together with local practices

Board paper preparers will be provided with a template to ensure that materials of high levels of quality and integrity are provided to the Directors and the GLT Everyone involved in, and contributing to, the decision-

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making process, must understand the statutory duties which the Company's Directors and the directors of subsidiary companies are obligated to adhere to this will help support effective decision making

Pret has created a threshold matrix, under the headings financial, operational, people and culture, that will assist in its determination of whether a decision is principal in nature or not It has taken the view that matters should be determined as principal decisions, where they are strategic, commercially material and those that impact key stakeholders These will be delegated to the GLT, except where they cannot be delegated under the Companies Act 2006 and include

- Dividends,
- Capital allocations, and
- Matters that will substantially affect the Company's employees

The key principal decisions made by the Directors during the reporting period were

Acquisition of Empire JointStar, Inc

In October 2025, the Group acquired 100% of the shareholding in its joint venture, EJI

Extension of Senior Facilities Agreement

The Group also extended its Senior Facilities Agreement in October 2025, extending the maturity date of the facilities to March 2029

Engagement with suppliers, customers, employees and others

Further details of engagement with suppliers, customers, employees and others can be found in the Directors' Report in 'Engagement with suppliers, customers and others in a business relationship with the Group' (p24) and 'Employee engagement summary' (p30)

By Order of the Board

DocuSigned by:
Konrad Meyer
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Konrad Meyer
Director
13 May 2026

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Task Force on Climate-related Financial Disclosures ("TCFD") Report

The reporting period for the Task Force on Climate-related Financial Disclosures ("TCFD") Report is the calendar year, being 1 January 2025 to 31 December 2025

In line with TCFD recommendations, this report outlines Pret's continued progress through 2025 in managing climate-related risks and opportunities, building supply chain resilience, and embedding sustainability into global operations

Building on our previous two disclosures, we have strengthened governance, refreshed our strategy, deepened risk management, and advanced our metrics and targets

Key highlights in this report

- *Governance (page 7)* Climate-related issues are governed and have oversight at the highest level of Pret's governance structure
- *Strategy (page 8)* Pret's newly developed Recipe for Change Impact Strategy guides Pret's approach for doing the right thing
- *Risk Management (page 13)* Pret continues to embed climate issues into its wider business risk management.
- *Metrics and Targets (page 15)* Pret has developed four new climate targets as part of its wider strategy development

Governance

We are the Pret A Manger Group - that's who we mean by ''Pret'', ''we'', ''us'' or ''our'' The Pret A Manger Group consists of affiliated companies of Pret A Manger (Europe) Limited, registered in England and Wales with company number 01854213 Our registered office is 75B Verde, 10 Bressenden Place, London, England, SW1E 5DH

At the end of the year, the Board was made up of 10 Directors, 20% female and 80% male Environmental, Social and Governance ("ESG") issues are discussed at the Board level, during meetings of the Audit Committee, meetings of the full Board, as well as deep dives conducted with individual Directors during strategic reviews

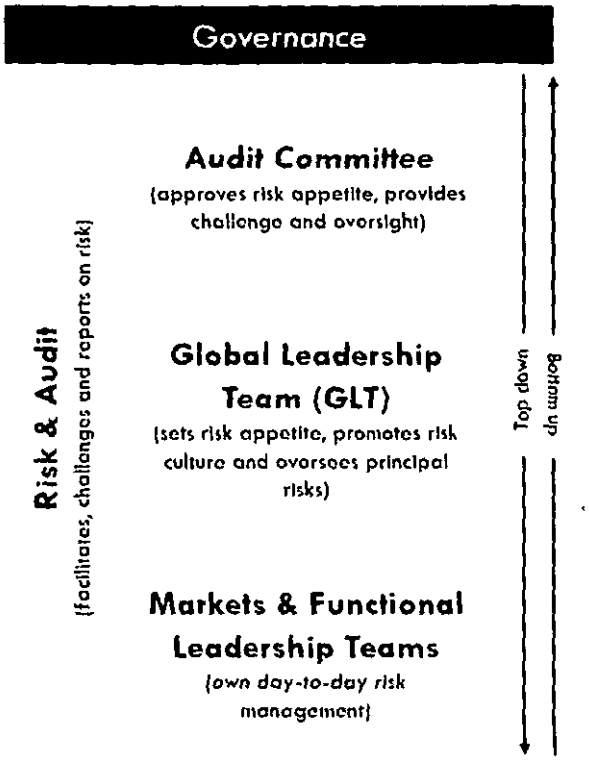
At the end of the year, Pret's Global Leadership Team ("GLT") was made up of 8 Executive members, split by 37% female and 63% male The GLT are responsible for the sub-level and group governance of ESG and opportunities, with the Chief Executive Officer ("CEO") being ultimately responsible Pret's Principal Risks each have a GLT owner who is responsible for monitoring and accountable for that risk Updates on the Principal Risks are reported to the Audit Committee, a sub-committee of the Board, which meets quarterly The outputs of the Audit Committee are formally submitted to and approved by the Board

Principal Risks include

- ESG & Sustainability Commitments, owned by the Chief Food & Coffee Officer
- Supply Chain Failures, owned by the Chief Financial Officer
- People and Teams, owned by the Chief People Officer
- Cyber-security and Data Protection, owned by the Chief Information Officer

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ESG is governed like other Principal Risks



Strategy

We have recently developed our Impact Strategy, 'Recipe for Change' This year, we refreshed the strategy to align with the Corporate Sustainability Reporting Directive ("CSRD") requirements and updated our double materiality assessment in line with the European Sustainability Reporting Standards ('ESRS") Recipe for Change guides our approach to doing the right thing across our business, including our response to climate change

Working with Accenture, we identified five key potential risks and opportunities that climate change may present for Pret

- Increasing costs and scarcity of raw materials,
- Increasing energy prices could increase Pret's operating costs,
- Acute climate events may cause disruption in Pret's supply chain,
- Regulatory and legal landscape shaping requirements and carbon prices,
- Opportunity to become Net Zero

Building on previous scenario analysis conducted with Accenture, Pret assessed three climate scenarios to understand how different global warming pathways could affect our business and explore how these risks and opportunities may evolve across a

- 1 5°C Net Zero 2050 scenario (RCP 2 6),
- Below 2°C Delayed Transition scenario (RCP 4 5) and,
- Above 3°C Current Policies scenario (RCP 8 6)

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These climate scenarios used industry recognised databases and methodologies, including the Network for Greening the Financial System ("NGFS") climate scenario models These scenarios align with the Intergovernmental Panel on Climate Change ("IPCC") and Representative Concentration Pathways ("RCPs)

Risk 1 Increasing transition-led costs of procured coffee

Methodology

- Applied carbon pricing to emissions associated with Pret's coffee supply
- Modelled green premium costs based on projected coffee volumes aligned with Pret's growth strategy
- Analysed broader market and policy shifts (e g , CBAM, cap and trade expansion)
- The modelling assessed both inherent and residual (mitigated) financial impacts under the three NGFS scenarios

Scenario Impacts

- Net Zero 2050
  - Costs may rise steadily, reaching 4 4% of revenue by 2045
  - Mitigation likely to reduce long term impact to ~3% of revenue by 2050, but risk remains high
- Delayed Transition
  - Higher and earlier cost escalation due to late, steep carbon price increases
  - Costs could reach 4 4% of revenue in 2045
  - Mitigated impact predicted to fall to ~2 5% of revenue by 2050, but risk remains high
- Current Policies
  - Carbon prices indicated to decline or stall across key markets
  - Impacts appear to remain insignificant through 2050

Possible Strategic Implications

- Pret is seeing some impact to coffee sourcing linked to climate challenges, affecting pricing and availability
- Supplier decarbonisation is critical to reducing Pret's exposure to carbon price passthrough
- Future costs will depend heavily on global trade policy, carbon regulation, and supplier climate performance
- Continued collaboration with our partners to invest in regenerative agriculture, farmer livelihood, and dual supply strengthening long term resilience

Risk 2· Energy Pricing Risk

Methodology

- Reviewed energy price trends and historical energy consumption
- Selected NGFS aligned pathways reflecting carbon tax levels, grid decarbonisation, and climate driven infrastructure risks
- Applied Pret's forecasted growth rates with projected energy prices
- Integrated mitigation strategies to estimate mitigated and unmitigated cost exposure

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Scenario Impacts

- Net Zero 2050
  - Highest short to medium term risk as rapid grid decarbonisation likely to increase costs
  - Mitigated risk falls from high to moderate to Insignificant by 2050
- Delayed Transition
  - Slower early action but predicted persistent carbon price pressure
  - Mitigated risk remains moderate in the short and medium term, becoming insignificant long term
- Current Policies
  - Limited climate driven price escalation
  - Mitigated risk is high short term, moderate midterm, and insignificant long term

Possible Strategic Implications

- Pret's decarbonisation targets are a critical lever for reducing exposure to carbon driven energy price increases
- Reducing absolute consumption through energy efficiency and technology upgrades lowers reliance on volatile energy markets, such as the 2025 UK langar roll out, which replaced units with a synthetic refrigerant, R452A, and global warming potential (GWP) of 2140, with the new units using a naturally occurring refrigerant, R290, with a GWP of 3
- Improved forecasting and data collection will strengthen Pret's ability to anticipate future spend

Risk 3. Acute climate events may cause disruption to Pret's supply chain

Methodology

- Identified relevant climate hazards most likely to affect upstream and downstream locations, recognising emerging hotspots with the greatest physical-risk escalation
- Compiled country-level data for Pret's stores, warehouses and supplier regions to establish exposure baseline
- Used the three climate pathways to understand how hazard severity and frequency may evolve, applying CLIMADA damage modelling

Scenario Impacts

- Net Zero 2050
  - Even at 1 5°C warming, acute events predicted to intensify across all regions
  - Flood damage risk anticipated to increase significantly (e g , UK +121% by 2050)
  - FLAG suppliers in tropical regions face heightened vulnerability
  - Risk escalates from low (short term) to minor (mid–long term) as events are expected to become more frequent
- Delayed Transition
  - Warming reaches ~2°C, driving a fivefold increase in exposure to natural hazards globally
  - More severe droughts, storms, and heatwaves indicated across Europe, the Americas, Africa, and Asia
  - Flood damage increases sharply (e g , UK projected +138%)
  - Tropical cyclone exposure expected to rise, particularly in the US, Canada, Singapore, and Hong Kong

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- Risk increases to high–extreme in the long term due to compounding disruptions across suppliers, logistics, and Pret's own sites

- Current Policies
  - Warming approaches ~3°C, triggering widespread systemic impacts and adaptation limits
  - Flood damages projected to rise 2.5–3.9× compared to 1.5°C warming
  - Severe and prolonged disruptions to stores, warehouses, and logistics networks
  - Major impacts on fresh product supply chains and key import routes
  - Risk reaches extreme in the long term, with significant revenue and business continuity implications

Possible Strategic Implications:

- Regardless of the transition pathway, Pret is exposed to a diverse set of acute climate hazards that vary by region and asset type
- Forest, Land Use and Agriculture (FLAG) commodities (coffee, chocolate, tea, fruit & vegetables) sourced from tropical regions face accelerated exposure
- Pret's reliance on fresh ingredients increases vulnerability to logistics disruptions
- Strengthening climate resilience across suppliers, logistics partners, and Pret owned assets is essential for long term business continuity

Risk 4 Regulatory and legal landscape shaping requirements and carbon prices

Methodology

- Reviewed existing and emerging policy regulations across Pret's operating markets
- Evaluated global climate policy trends and how they evolve under the three NGFS climate scenarios
- Considered risks from non-compliance, litigation, stakeholder expectations, and potential penalties under emerging regulations
- Modelled the risk across the three scenarios

Scenario Impacts

- Net Zero 2050
  - Most significant regulatory impact across all three time horizons
  - Probable that rapid, transformative legislation is introduced early and consistently
  - Carbon prices would rise sharply – projected ten-fold between 2020 and 2030
  - Strong policy support helps companies transition but increases compliance obligations
  - Land use protections (up to 50% of global land area) restrict agricultural supply, potentially raising costs for key commodities
- Delayed Transition
  - Lower short term regulatory pressure due to delayed policy action
  - Carbon prices indicated to remain low until 2030, then spike dramatically, up to 100 times current levels by 2035
  - Fragmented, uncoordinated regulation across countries increases complexity for Pret, as it spans 20 markets

- Companies would decarbonise rapidly in a compressed timeframe, likely raising operational and compliance cost

- Current Policies
  - Lowest short-term regulatory impact due to limited new climate legislation
  - Carbon prices remain close to zero
  - However, as physical climate impacts worsen, public and stakeholder pressure likely to increase, and in turn regulatory tightening likely in the long term as governments respond to escalating climate impacts
  - Companies failing to act may face litigation, reputational damage, and market backlash

Possible Strategic Implications

- Rising carbon prices would materially increase costs, however, with Pret's Scope 1 and 2 emissions representing only a small portion of its overall footprint, any effects would be more closely linked to broader value chain dynamics than to Pret's own operational emissions
- Pret is already facing an increased administrative workload particularly within the EU with the changes in Omnibus and EUDR, and compliance burden will likely expand as requirements increase and often differ across jurisdictions
- Strategic planning will need to incorporate multiple scenarios to build resilience into financial planning, going beyond business-as-usual planning
- Improving data is essential to ensure that carbon footprint calculations move away from estimations to reflect decarbonisation initiatives and reduce exposure to future carbon price spikes

Opportunity 1: Opportunity to become net zero

Methodology

- Reviewed IPCC, FAO, WEF, WBCSD and other scientific literature to integrate nature-related considerations and understand how agrifood emissions, biodiversity loss, waster stress and dietary shifts shape long-term opportunities
- Evaluated trends such as plant-based demand, sustainability labelling, willingness to pay and emerging regulations to understand consumer, market and regulatory signals
- Calculated ~57% of Pret's procurement emissions comes from FLAG related sources to understand where the most material opportunity is
- Identified supply chain levers
- Modelled the opportunity across the three climate scenarios

Scenario Impacts

- Net Zero 2050
  - Anticipated strong consumer demand for and innovation in sustainable food & beverage products, including alternative proteins, sustainable packaging, and low carbon logistics
  - In this scenario, renewable energy share would rise to 71% by 2030, though prices may peak temporarily
  - Behaviour change could deliver five times more demand reduction than today
  - Sustainable construction materials become more affordable as markets scale
  - Opportunity high in short term, but becomes moderate as competition increases
- Delayed Transition
  - Early stage opportunities potentially limited by slow technological development and unclear consumer signals, but post-2030 decarbonisation would accelerate demand for sustainable products

- Energy prices peak later (2035), delaying the benefits of demand reduction
- Opportunity moderate short term, very high long term if Pret benefits from early action

- Current Policies
  - Slowest behavioural and dietary shifts in this scenario, lowest short term demand for sustainable products
  - Long-term warming (~3°C) increases supply chain fragility
  - Pret can become a market differentiator in a less competitive sustainability landscape
  - Circularity and renewable investments (water, waste, packaging) are costly initially but yield longterm savings, e g , PPAs
  - Opportunity low short term, high long term due to differentiation and resilience

Possible Strategic Implications

- Investing in regenerative farming, supplier traceability strengthens supply chain resilience and long-term supply security which is critical as climate impacts intensify
- Proactive alignment with regulations such as CSRD, CSDDD, TNFD and EUDR before Pret is in scope positions Pret with regulatory readiness and competitive advantage ahead of regulatory tightening
- Early adoption of decarbonisation technologies could strengthen brand reputation and attract climate-conscious consumers, such as this year when Pret trialled hydro vegetable oil (HVO) deliveries for all UK shop deliveries

Risk management

For consistency with the assessment of all other business risks, Pret's Risk Management Framework was applied to the scenario analysis, applying the same impact and likelihood criteria Due to the slow-emerging and long-duration nature of climate-related risks and opportunities, the analysis incorporated extended time horizons beyond standard business planning timeframes

Rating	Period	Years
Short Term	0 to 5 years	2023-2028
Medium Term	5 to 10 years	2029-2039
Long Term	10 to 28 years	2040-2056

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Level of impact	Scale	Financial impact*
Extreme	5	>£10m
High	4	£5m - £10m
Moderate	3	£2.5m - £5m
Minor	2	£1m - £2.5m
Insignificant	1	<£1m

> ★ PRET ★

* Reduction in EBITDA

Level of likelihood	Scale
Highly probable	5
Probable	4
Possible	3
Unlikely	2
Remote	1

The relevant risk owner together with Sustainability and Risk & Audit teams decide the process of mitigating, transferring, escalating or accepting climate-related risks The key necessary mitigating actions described in this report are embedded within our assumptions to annual budgets and long-term plan

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Metrics and targets

Scope	Value Chain	Location	Emission Source	2025 Emissions (tCO2e)	2024 Emissions (tCO2e)	2023 Emissions (tCO2e)	Variance to Previous Years	
							Change (%) on FY24	Change (%) on FY23
Scope 1	Direct Emissions	*Operations*	Total Scope 1 - Refrigerants, stationary combustion and mobile combustion	3,856	4,838	5,756	(20)%	(33)%
Scope 2	Indirect Emissions	Operations	Total Scope 2 (Location - Based) which uses emission factors from the grid	10,116	13,144	14,622	(23)%	(31)%
			Total Scope 2 (Market-Based) which reflects our renewable electricity purchases	7,900	8,104	6,771	(3)%	17%
Scope 3	Total Scope 3			325,612	360,840	326,920	(10)%	—%
	Indirect Emissions - Upstream	*Upstream Value Chain Total*		*308,052*	*342,869*	*315,630*	(10)%	(2)%
			Purchased goods and services	*271,193*	*298,034*	*267,445*	(9)%	1%
		FLAG	*FLAG GHG Emissions Total*	*185,459*	*200,133*	*182,089*	(7)%	2%
			Flag Food	177,555	191,232	176,125	(7)%	1%
			FLAG Packaging	7,904	8,901	5,964	(11)%	33%
		Non-FLAG	*Non-FLAG GHG Emissions Total*	*85,686*	*97,866*	*85,245*	(12)%	1%
			Goods not for resale	28,445	36,313	33,153	(22)%	(14)%
			Processing of FLAG products	57,241	61,553	52,092	(7)%	10%
			Water Supply	48	35	111	37%	(57)%
			Capital goods	2,411	3,660	4,863	(34)%	(50)%
			Fuel and energy related activity (FERA)	2,217	2,471	2,898	(10)%	(23)%
			Upstream transportation and distribution	24,434	32,123	31,044	(24)%	(21)%
			Waste generated in operations	1,139	1,172	2,137	(3)%	(47)%
			Business travel	614	772	610	(20)%	1%
			Employee commuting	6,044	4,637	6,633	30%	(9)%
	Indirect Emissions - Downstream	*Downstream Value Chain Total*		*17,560*	*17,971*	*11,290*	(2)%	56%
			Downstream transportation and distribution	690	967	408	(29)%	69%
			Use of sold products	2,492	3,121	130	(20)%	1817%
			End of life treatment of sold products	2,094	2,351	1,851	(11)%	13%
			Franchises	12,284	11,532	8,901	7%	38%
Total emissions Scope 1, 2 (market-based), 3				**337,368**	**373,782**	**339,447**	**(10)%**	**(1)%**
of which FLAG				185,459	200,133	182,089	(7)%	2%
and all remaining Scope 1, 2 (market-based), 3 total				151,909	173,649	157,358	(13)%	(3)%

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Our FY2025 full Scope 1-3 carbon emissions have been calculated in line with best practice as defined by the Greenhouse Gas (GHG) Protocol methodology and calculated by the third-party consultancy, Accenture

Our Recipe for Change climate targets include

- **FLAG Products** Create a new Sourcing Policy For Forestry, Land and Agricultural Products and ensure compliance for every medium and high-risk product (Equity by 2028, franchise by 2030, primary ingredients only)
- **Renewable energy** 100% renewable energy powering all our shops by 2030 (Global equity and franchise by 2030)
- **Supplier Scope 3** Two-thirds of centralised UK food, drink and product suppliers have a carbon target in place by 2030 (UK equity and franchise food, drink and product suppliers whereby the product is delivered to shops by our third party logistics provider, calculated based on spend, by 2030)
- **Trials** To participate in at least one carbon reduction trial each year (Globally each year until 2030)

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Pret Parent Holding Limited
Corporate Governance Report
For the 52 week period ended 1 January 2026

Purpose, values and corporate governance

Pret's purpose is to make every day a little brighter by feeding the world thoughtfully At the heart of this purpose are the four core values

- Happy Teams and Happy Customers,
- Amazing Standards Everyday,
- Never Standing Still, and
- Doing the Right Thing

These values drive the focus, define the strategy and underpin the behaviours and attitudes of Pret's employees and senior management in their work, establishing a holistic and robust approach to risk management and corporate governance

Corporate governance practices

The Directors are mindful of corporate governance and seek to demonstrate understanding of their accountability and statutory responsibilities, including application of their Section 172 Statement duties under the Companies Act 2006 ("the Act")

The Company is not required to comply with the UK Corporate Governance Code as it is not listed Pret has its own Corporate Governance Policy which it has applied throughout the current and previous periods The Corporate Governance Policy is designed to promote the long-term success of the Group, both within the UK and globally, to minimise risk and to create value for the shareholders The stakeholders are the employees, charities, customers, suppliers, landlords, partners, franchisees, local communities, external finance providers and shareholders

A key element of the Group's corporate governance arrangements is the Subsidiary Governance Policy, which has been adopted by the Company and its subsidiaries The policy formalises the Group's governance standards and provides detailed principles for the Company's Directors and the directors of its subsidiaries' boards

The policy sets out the process for making principal decisions, as detailed and defined in the Section 172 Statement (see page 5), to ensure that Pret, its statutory directors and its management are able to comply with the obligations under the Act. These matters are strictly reserved to ensure the Company's Directors and subsidiaries' directors can demonstrate sound and competent execution of their statutory duties (including oversight of the management of relationships and engagement with stakeholders on their behalf) in accordance with the Act and other regulations, as well as applicable local legislation

The Group's Global Leadership Team ("GLT") is responsible for making Pret's material decisions Under the Subsidiary Governance Policy, the relationship between the GLT and the subsidiary boards is formalised and the relationship between the Company and its subsidiaries crystallised Principal decisions will be delegated to the GLT, except where they cannot be delegated under the Act

In making any decisions, the Board, the subsidiaries' boards and the GLT are required to consider the outcome of any stakeholder impact assessment that has been undertaken to support it (details of the principal decisions made during the reporting period, and the governance process behind principal decisions, are set out within the Section 172 Statement)

Set out below, in further detail, is the infrastructure which the Group has in place, to implement its Corporate Governance Policy

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Board composition

The Directors of the Company regularly review the structure, size and composition of the Board in order to ensure that it is composed of the right people with the requisite skills and experience, including diversity of thought and approach, who can provide strong and effective leadership to the business and support delivery of the Group's strategy

In accordance with the Subsidiary Governance Policy, the directors of the Company's subsidiaries delegate decision making authority and the day-to-day running of the respective subsidiaries to the Board of the Company The Company has composed a Board with a balance of skills, backgrounds, experience and knowledge required to complement the promotion of the long term success of the Group and to identify the impacts of the Board's decisions on the Group's stakeholders, and where relevant, the likely consequences of those decisions in the long term Individual directors have sufficient capacity to make a valuable contribution that is aligned to the Group's activities

The Board continues to focus its attention on the gender balance of the Board, the GLT and the subsidiaries' boards, as well as reviewing the succession plans for the Board and senior management

Below is a brief biography of the Directors of the Company who served up to the point of signing

José Cil

José Cil is a Senior Partner and Global Head of Consumer at JAB José oversees JAB's global consumer goods and services investments, with a focus on operating and financial performance of JAB's exciting consumer assets and the development of new business opportunities He also serves as Chairman of JAB's restaurant business, including Pret, guiding its strategic direction

He brings more than 30 years of experience in global consumer and restaurant leadership Previously, he was Chief Executive Officer of Restaurant Brands International, the parent company of multiple quick-service restaurant brands, including Burger King, Tim Hortons, and Popeyes He also spent 16 years in leadership roles at Burger King, including as Global President and President of EMEA and Vice President of Company Operations in the United States

He serves on the Boards of Panera Bread, Bagel Brands, Pret A Manger, Espresso House and Norwegian Cruise Line Holdings Ltd. He also serves as a Council Member of the Florida Council of 100 and the Orange Bowl Committee, and is a member of the Board of Advisors of Belen Jesuit Preparatory School in Miami

Konrad Meyer

Konrad Meyer is Partner at JAB and oversees JAB's investments in its fast-casual restaurant platform Pret A Manger (UK), Panera Brands (holding of Panera Bread, Caribou Coffee, Einstein Bagel and Bagel Brands (all USA)) and Espresso House (Sweden) He serves as board member on all these companies and held executive positions as Interim Chief Financial Officer at Piet A Manger (2020) as well as Chief Financial Officer at Panera Brands and Panera Bread (2022-23) He brings over 15 years of industry and investment expertise and previously was Investment Director at Waterland Private Equity In addition to serving as a Board member at Pret A Manger, Konrad is also a member of the Audit Committee and Remuneration Committee

Panayioti (Pano) Christou

Pano Christou is Chief Executive Officer of Pret A Manger He brings over 35 years of experience in the hospitality industry, including 5 years from the McDonald's Corporation Pano joined Pret in 2000 as an Assistant Manager and has held many senior positions throughout his career at Pret including UK Managing Director and Chief Operating Officer Pano took on the role of Chief Executive Officer in 2019

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Timothy Smith CBE

Timothy Smith CBE serves as a Non-Executive Director Tim was previously Chief Executive of the Food Standards Agency and Group Quality Director at Tesco plc He is a 40-year veteran of the food industry, with leadership roles at Northern Foods plc and Arla Foods plc where he was CEO Tim also serves as chairman of Cranswick plc and holds a number of external advisory and charity roles including the Natasha Allergy Charity, where he chairs the Trustee Board He is the Chair of Sheffield Hallam University and the Chair of the UK Government's Food and Drink Sector Council He serves on the UK Government's Food Strategy Advisory Board Tim is also a member of the Audit Committee

Aileen Richards

Aileen Richards serves as a Non-Executive Director Aileen formerly served as Executive Vice President of Mars Inc until 2015 with responsibility for the Human Resources Strategy for the company's 85,000 associates Aileen currently acts as non-executive director on several boards, including JDE Peet's and Samworth Brothers Aileen was also the first woman on the board of the Welsh Rugby Union In addition to serving as a Board member at Pret A Manger, Aileen serves on the Remuneration Committee

Denis Hennequin

Denis Hennequin serves as a Non-Executive Director Denis was President of McDonald's Europe Limited between 2005 and 2010 and Chairman and Chief Executive of Accor S A from 2011 to 2013 Denis served as Chairman for Kellydeli Company Limited and Picard Denis has held non-executive directorships for John Lewis Partnership, Eurostar International Limited, SSP Group plc, JDEPeets, Bakkavor Group plc and Espresso House Dennis currently serves as NED for KellyDeli and Elior SA He is also operating partner for French Food Capital In addition to serving as Board member at Pret A Manger, Denis serves on the Remuneration Committee

Larry Billett

Larry Billett serves as a Non-Executive Director and as Chairman of the Audit Committee One of Pret A Manger's co-owners, Larry also served from 2003 through 2011 as Chairman, and from 2012 through 2018 as a Non-Executive Director He also serves as a non-executive director of Pret A Manger (USA) Limited, Pret A Manger's American subsidiary Larry is also Managing Director of Billett Group, active in private equity and M&A, and he was a co-owner of UrbanLodge Hotels, which founded The Hoxton in London Previously, he was head of Salomon Brothers' and Société Générale's transportation and infrastructure investment banking businesses, Senior Vice President Finance and Development of Pan Am, Chairman of LAX TWO, and a supervisory board member of Estonia's and Bulgaria's largest water companies, Tallinna Vesi and Sofijska Voda He served for 6 years as a board member and finance committee chairman of Hampstead Theatre and for 2 years as an NHS Innovation Challenge Prizes expert panel member He is a cum laude graduate of Yale

Patricia Capel

Patricia leads JAB's overall people strategy, overseeing talent, compensation, organisational development, and leadership initiatives across the firm and its portfolio companies to support long-term growth and performance

Previously, she spent 25 years at AB InBev in a series of senior leadership roles, including Vice President of Finance for Central and Eastern Europe, leadership roles supporting major M&A integrations, and Vice President of Global People (HR), where she oversaw global talent attraction, development and remuneration She also served as President of the Andina Business Unit, leading commercial operations across Chile, Bolivia and Paraguay Earlier in her career, she held roles at PwC and Cargill Agrícola S A

She serves on the Boards of several JAB companies, including Coty, IPH, NVA, Pret and Penera, and is the Chair of Krispy Kreme's Board

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Elias Diaz Sese

Elias Diaz Sese serves as a Non-Executive Director Elias was previously Co-Founder of Popeyes UK, as well as Chief Executive Officer of Domino's UK and Heinz Northern Europe He is a 30 year veteran of the restaurant and food industry where he held multiple leadership roles in Restaurant Brands International for 15 years around the world, lately Global President of Tim Hortons and President of Burger King APAC Elias also partners with other private equity and family offices on long-term value creation ventures as an investor, external advisor and/or Board Member including Popeyes UK, Burger King Scandinavia and Restaurant Brands Iberia

Andre Molinari

Andre Molinari serves as a Non-Executive Director Andre was previously Head of M&A at Hunter Douglas and before that Executive Vice President at Restaurant Brands International as the leader for Global Development Before entering the restaurant industry Andre was a CEO of tech company and founder and Co-CEO of a real estate construction business for 10 years, also serving in different boards of tech start ups as angel investors Holds a BA in business and a MBA from the Harvard Business School

Senior management team composition

As at 1 January 2026, the GLT consists of the following members, who attend board meetings biannually

Chief Executive Officer ("CEO")	Pano Christou
Chief Financial Officer ("CFO")	Gustavo Peixoto
Chief People Officer ("CPO")	Ed Evans
Chief Information Officer ("CIO")	Amanda Hamilton
Chief Marketing Officer ("CMO")	Matt Bresnahan
Group General Counsel ("GC")	Rita Metha
President, UK & Ireland	Ross Warnes
President, North America	Felipe Athayde
President, International	Eira Jarvis

Board committees

In addition to the delegations to the GLT, the Board has delegated authority to the Audit Committee for certain financial reporting, internal controls, risk management and compliance matters The primary role of the Audit Committee is to

- Monitor the Group's financial reporting process and the integrity of the Group's financial and narrative statements,
- Monitor the Group's internal control and risk management systems and internal audit process,
- Identify enterprise risks, review monitoring of internal controls and risk management processes, and
- Oversee and monitor the audit of the Group's financial statements and the independence of the external auditors

The Board has also delegated authority to the Remuneration Committee for certain matters, including the remuneration policy and Group remuneration strategy, share plans and performance related pay The primary role of the Remuneration Committee is to

- Set and review the remuneration policy and practices for Directors and senior executive management to support strategy and promote the long term success of the Company and the Group,
- Oversee the Company's overall remuneration strategy and ensure it is aligned to the Group's purpose and values and clearly linked to the successful delivery of the Group's long-term strategy, and
- Scrutinise the performance of the Group and of individuals under the Remuneration Committee's remit to ensure that remuneration payments are appropriate for the level of performance achieved

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The Audit Committee and Remuneration Committee report back to the Board on a regular basis, allowing the Board to demonstrate oversight of the delegated responsibilities

Training

On appointment, an induction is provided to incoming Directors by the Group General Counsel, with input from the Chairman as appropriate Inductions will be tailored to each individual Directors' requirements, adapted to reflect their existing knowledge and experience and will include a briefing on their Section 172 duties

The Directors of the Company receive continual training on their primary duties under the Act and broader regulatory responsibilities, to ensure Directors maintain a clear understanding of their responsibilities and accountabilities

Opportunity & risk

The Board recognises that its main opportunity for success is its people It is critical to Pret's success to attract, retain, develop, motivate and keep safe the best people with the right capabilities at all levels Failure to achieve this would be detrimental to the brand and the service valued by customers

The Board of Directors is responsible for identifying significant risks to the business and for ensuring that appropriate internal controls and risk management are in place These risks are monitored through the risk register

The Board is ultimately responsible for enhancing and protecting the Pret brand and reputation, which it considers to be its main strategic risk As such, the Board recognises the importance of receiving regular, timely and accurate information on any matter affecting the brand and reputation, allowing it to take appropriate action when required

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Pret Parent Holding Limited
Directors' Report
For the 52 week period ended 1 January 2026

The Directors present their Directors' Report and the audited financial statements for the 52 week period ended 1 January 2026

As permitted by legislation, some of the matters normally included in the Directors' Report have instead been included in the Strategic Report Information on future business developments and the Section 172 Statement are included in the Strategic Report Corporate governance arrangements are included in the Corporate Governance Report

Research and development

Pret significantly invests in the research and development of applications and software to provide easier access to Pret products to customers, improving the customer experience Pret has engaged with consultants and contractors during the year to build and roll out digital projects

Please also refer to the note 14 of the consolidated financial statements

Financial instruments risk management objectives and policies

The Group finances its operations through a mixture of operating profits and bank borrowings The Group has also received equity injections and support from its parent company Management's objectives are to

- Retain sufficient liquid funds to enable it to meet its day-to-day obligations as they fall due whilst maximising returns on surplus funds, and
- *Match the repayment schedule of any external borrowings or overdrafts with the future cash flows expected to arise from the Group's trading activities*

The Group tries to minimise surplus funds, but where they arise they are held primarily in short term variable *rate deposit accounts The Directors believe that this gives them the flexibility to release cash resources at short* notice and also allows them to take advantage of changing conditions in the finance markets as they arise All *deposits are with reputable banks and the Directors believe their choice of bank minimises any credit risk* associated with not placing funds on deposit with a UK clearing bank

Please also refer to the note 27 of the consolidated financial statements

Dividends

During the period, the Company declared and distributed non pro rata interim dividends of £19 3 million (2024 £2 0 million) to Pret Holding Limited The non pro rata dividend is not declared or distributed to any shareholders other than the immediate parent company of Pret Parent Holding Limited The statutory requirements to declare a dividend were met at the date of approval

Directors

The Directors who served during the period and up until the date of signing this report were as follows

- Olivier Goudet (resigned 11 March 2025)
- Konrad Meyer
- Panayioti (Pano) Christou
- Timothy Smith CBE
- Aileen Richards
- Manuel Martinez (resigned 21 May 2025)
- Denis Hennequin
- Larry Billett
- Patricia Capel
- Elias Diaz Sese (appointed 30 May 2025)

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- José Cil (appointed 30 May 2025)
- Andre Molinari (appointed 30 May 2025)

Pret Intermediate Company Limited, an intermediate parent company, has procured qualifying third party indemnity insurance for all Directors and Officers of the Company and all Group companies There are no outstanding claims or provisions as at the balance sheet date The indemnity was in force during the financial year and also at the date of approval of the financial statements

Going concern

The consolidated financial statements have been prepared on a going concern basis based on the Directors' assessment summarised below

At the end of the current financial year, the Group has net current liabilities of £382 5 million and available liquidity of £76 7 million (Cash £17 8 million, Undrawn Senior Facility £58 9 million) The Group also has an undrawn shareholder standby facility of £200 million which has been extended to a new maturity date of October 2026

Looking forward, global economic conditions give rise to further uncertainty, as high levels of inflation and economic recession across the Group's markets could impact on both consumer spending and the Group's cost base The Directors have undertaken a detailed assessment of the impact that these risks could have on the Group's cash flows for a period of 12 months from the date of approval of these financial statements (the "going concern assessment period") In carrying out their assessment, the Directors have considered various performance scenarios, including downside scenarios considered severe, yet plausible These scenarios include reductions in forecast revenues across the Group's markets arising from reduced demand in the existing portfolio as well as lower than expected growth in the number of equity and franchise shops in the portfolio Management have also modelled the impact of planned operating cost control measures not being achieved, resulting in a weaker operating profit margin In all scenarios the Group continues to have the resources to meet its liabilities as they fall due

Furthermore these downside scenarios have also been factored into the covenant assessments Following an amendment and extension of the facilities in the year, the facilities now include a Minimum Liquidity covenant and a Leverage Ratio covenant The group is planning to comply with the leverage covenant under both the base case scenarios and the severe but plausible downside scenarios When assessing the severe but plausible downside scenario's for the Leverage Ratio covenant, use of the equity cure mechanism within the financing agreement is required to meet the required ratios The equity cure gives the Group the ability to draw down the shareholder standby facility to 'cure' the Leverage covenant if needed Less than 10% of the shareholder standby facility is required to cure the Leverage covenant in the downside scenarios No use of the equity cure is required under the base case

During the year both Term A and Term B loan maturities were extended to March 2029 which has been considered by the Directors Whilst there is always risk associated with a refinancing event, given that the maturity is beyond the assessment period as well as the progress of the business and the improvement of the net debt position, the directors do not consider there to be a material uncertainty in this regard

Whilst there are factors which are outside of the Directors' control, including unpredictability in consumer spending as a result of macroeconomic factors, the Directors have a reasonable expectation that the Group and company can continue in operation and meet their liabilities as they fall due for the going concern assessment period and therefore have concluded that the going concern basis of preparation is appropriate for the current period

Subsequent events

The Company has evaluated subsequent events up to 13 May 2026, the date that the financial statements were authorised to be issued

Refer to note 32 for further subsequent event disclosure

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Employment of disabled persons

The Group is committed to its responsibilities towards disabled persons and gives full and fair consideration to applicants for positions suited to their own particular abilities, where appropriate openings exist Where employees become disabled in the course of their employment, every effort is made to provide them with continued employment It is the policy of the Group that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees

In 2024, we introduced a new employee resource group, Pret's Body and Mind Belonging Group, to better understand the needs of colleagues with mental and physical disabilities To date, it has been one of the most engaged and participated in groups

Engagement with suppliers, customers and others in a business relationship with the Group

The Board has considered the stakeholders that are impacted by the Group and its business activities, and considers its employees, charities, customers, suppliers/landlords, partners/franchisees, local communities, external finance providers and the shareholders to be its key stakeholders Pret continually listens to its stakeholders to understand their differing needs and priorities, aiming to build and develop enduring relationships with these stakeholders Pret uses this feedback to inform its decision making

The tables below describe how Pret has regard to the need to foster relationships with its suppliers, customers and others in a business relationship with Pret, and the effect of that regard, including the decisions taken during the reporting period For further details on how the Group has engaged with Pret's employees, how the Group has had regard to those employees' interests, and the impact of that regard, including on the decisions taken by the Group during the reporting period, refer to the Employee Engagement Summary (details of which are set out on page 30)

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Charities

Stakeholders' interests	How Pret has fostered relationships	How the fostering of relationships impacted decision-making
The Pret Foundation ("the Foundation") was registered in 1995 as an independent charity (1050195) and has a simple mission to alleviate hunger and tackle homelessness Ensuring we understand the issues and needs of each individual charity we work with through the Foundation so that we can tailor support accordingly Consider partner interests and how they can best support the work of the Foundation Understanding colleague and customer motivations and what will drive them to support the work of the Foundation	Pret's relationships, via the Foundation, with charity partners are critical to the achievement of its goals on all fronts From grant making and end-of-day food donations, to the recruitment of people experiencing homelessness in to Pret shops through the Rising Stars programme The Foundation supported 124 people across 80 Pret shops into employment at Pret, via the Rising Stars programme, in 2025 with a graduation rate of 73% and job offer rate of 79% The Rising Stars programme was established in 2008 to support people experiencing homelessness or at risk into meaningful employment so that they can achieve financial independence and long-term stability In 2025 more Rising Stars were placed with franchise partners (10) than ever before Pret donated over 650,000 meals' worth of food as part of its end-of-day food donation programme which supports local charities serving communities and people facing homelessness Pret employees gave an engagement score of 7 9 in the annual survey when asked whether they feel inspired by the work of the Foundation A champions network has been established	Over 100 Pret employees donated their time with the Felix Project and other charity partners, supporting with activities such as meal preparation using food waste at one of their depots and salving fruit from their orchard in Kent The Foundation also awarded over 40 good causes financial support across the UK in 2025, focussing on alleviating food insecurity and supporting people into employment. The Group introduced a shop nomination process to enable shop teams to put forward causes that matter to them most 25 of those good causes supported were nominated by the shop teams, fostering closer relationships with communities in which the Group operates The Group made payments of a charitable nature amounting to £0 9 million in 2025 (2024 £1 1 million)

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Customers

Stakeholders' interests	How Pret has fostered relationships	How the fostering of relationships impacted decision-making
Excellent customer service, providing tasty and fresh food and coffee at fair prices and the ability to adapt to changing customer preferences and needs	Pret actively engage with its customers through numerous channels including social media, emails, quantitative and qualitative research to understand better their needs and concerns Alongside its emphasis on sourcing fresh, top quality ingredients, Pret puts a great deal of effort into training its Team Members and encouraging its customers to inform it if they are not satisfied with the quality of their purchase or their in-store experiences, and to seek suggestions Pret also conducts regular shop audits to monitor behaviours, inspects whether these behaviours meet expectations and shares knowledge and feedback Shop audits are intended to be mutually beneficial in terms of improvement and learning opportunities In addition Pret has weekly mystery shoppers to monitor standards of products and customers service	Pret's ability to develop new food and drinks and to react to customers' feedback is integral to its success Recognising customer needs and understanding how and when they want to interact with Pret, has been critical to its expansion plan outside of central London, as shops design and business offering are evolved to be even more customer centric Pret operates an open door communication approach for customer feedback, and brought back much loved but delisted products, through customer contacts on social media and email Pret's ongoing commitment to never standing still and always delivering to evolving customer needs saw focus on better value for all customers From July 2024 every customer could once more enjoy Pret's signature 100% organic Arabica Filter Coffee for just 99p, the All Butter Croissant dropped to £1 99 and price reductions were also made to other best sellers, like the Free-Range Egg Mayo sandwich and the Pole & Line Caught Tuna baguette Meal deal trials commenced in 2025, with full roll out expected in 2026

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Suppliers and Landlords

Stakeholders' interests	How Pret has fostered relationships	How the fostering of relationships impacted decision-making
Pret's suppliers' interests include the long-term success of Pret, fair terms and conditions, including payment terms, long-term partnerships and ethical behaviour (including anti-bribery and corruption and anti-slavery)	Pret is proud of the relationships that it has with its suppliers and landlords, the majority of which are long-term Pret has established an equitable and considered approach to fostering relationships with its landlords, working collaboratively in the best interest of fostering retail vitality Pret continues to adopt a transparent and fair approach to negotiation, whilst remaining competitive In 2024, Pret updated its Third Party Code of Conduct for the UK business, strengthening expectations of franchise partners and suppliers on topics including human rights and environmental protection and made adherence to this code mandatory Pret has built a strong international supply chain which gives it the ability to supply all markets globally This network is built on collaborative relationships with Best Food Logistics export function in the UK, as well as fostering Pret's franchisees partnerships' with several international freight forwarding services By working with all parties, Pret can meet necessary export requirements and ensure continued supply for each of the individual markets	Pret is proud to have mutually beneficial deals with the majority of its estate, partnering with the landlord community to develop a sustainable business for the future. Pret is continuously improving its visibility and partnerships with suppliers, engaging in supplier scorecards for continuos improvement and sharing business updates for greater alignment Pret has developed operational contingency plans to include increased stock-holding of key products, a flexible working arrangement with the Best Food Logistics and Booker/Tesco network and alternative shop delivery profiles to be more agile in a changing environment By working closely with its nominated logistics partner and suppliers Pret has a robust business continuity plan to maintain high levels of supply and standards for the business

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Partners and Franchisees

Stakeholders' interests	How Pret has fostered relationships	How the fostering of relationships impacted decision-making
A productive and fair working relationship through collaboration on shared values on important matters, such as food standards	All of Pret's Partnership relationships are underpinned by a detailed agreement and accompanying manual that sets out clarity on the ways of working Pret is keen for its partners to become long term partners and be an extension of its corporate business Pret therefore works alongside its partners to ensure that they receive extensive training and support to help them manage and grow their business	Pret works collaboratively with its partners to ensure that both parties' interests can be successfully achieved without compromising Pret's operating and brand standards In the UK, a Franchise Council has been established to ensure transparent two-way communication between Pret and its partners including consulting on policies and procedures and sharing best practice In addition, an Operations and People Council and Technology Council have been established to foster more in-depth discussion and collaboration at functional level In Pret's international markets regional teams of franchising specialists work closely with franchise partners to ensure the requirements noted above are achieved Collaboration includes monthly top to top meetings, Quarterly Business Reviews and regular function to function meetings Clear escalation routes are in place if required

Local Communities

Stakeholders' interests	How Pret has fostered relationships	How the fostering of relationships impacted decision-making
Creation of social value, community employment, effective consultation and communications on proposals affecting local spaces and people and a commitment to sustainability	Supporting local communities is at the heart of Pret and The Pret Foundation and forging relations with community-based organisations is essential to achieving its goals The Rising Stars programme alone has supported over 900 people into sustainable employment at Pret since it was launched in 2008, directly supporting the local communities it serves	The journey to deliver Pret's Recipe for Change cannot be done in silo Pret values the relationships built across the industry, continuously learning from others to make informed decisions An example of this is with Pret's Rising Stars Programme, whereby the partners Pret works with to onboard Rising Stars convene regularly to share lessons and barriers to employment Pret also collects feedback from the Rising Stars themselves who convene once a week at a weekly chat group

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External finance providers

Stakeholders' interests	How Pret has fostered relationships	How the fostering of relationships impacted decision-making
The Group's external finance providers' interests include the long-term success of the Group to enable the repayment of loans & borrowings	During the period the Group signed an extension to its Senior Facilities Agreement with a consortium of banks The Group reports to the lenders in the form of monthly, quarterly and annual compliance certificates It also reports in the form of its financial statements	The Group manages its liquidity risk and covenant compliance through continuous business review of forecasted returns and cash flow requirements

Shareholders

Stakeholders' interests	How Pret has fostered relationships	How the fostering of relationships impacted decision-making
Robust financial accounts, growth in profitability, sound capital allocation and investment decisions, a stable dividend policy and effective communication of strategy	Some of the Directors on the Board of the Company are representatives of its ultimate shareholder, JAB Holdings This provides its main investor with a direct opportunity to draw upon their experiences and knowledge of growing other coffee and beverage companies and filter this through to its senior management and directors of its trading companies The Company and each subsidiary company reports to its ultimate shareholders on a regular basis in the form of its financial statements, monthly and quarterly board reports and business reviews, presentations to the shareholders, review of key strategic bids, business plans and strategic plans as well as risk reporting	Its shareholders bring a wealth of shared experience and knowledge to support Pret's decision-making on strategy and the growth and development of the Company Throughout the year, this has included financial support through shareholder funding, Pret's digital transformation journey, corporate restructuring, and the growth plans for its franchising model

For further details on the principal decisions made, refer to the Section 172 Statement (details of which are set out on page 5)

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Employee engagement summary

During the reporting period Pret employed an average number of 7,531 employees This figure reflects all corporate Pret employees, so excludes those employed by the franchise community

The table below describes how the Group engaged with, and had regard to, Pret's UK-based employees and their interests, and the effect of that regard, including on the decisions taken by the Group during the reporting period

How Pret has engaged	How the engagement has impacted decision-making
Pret provide its Managers and Support Centre teams with information on Group performance, Group strategy, key initiatives, changes to its working practices, sustainability, training, career development and diversity and inclusion through a weekly virtual meeting, monthly virtual broadcasts, the Group's intranet, the Group's employee communications platform (Yammer), regular team and one-to-one meetings, newsletters (the Weekly Pret) and shop visits Pret's employees below manager level are provided with similar information on a weekly and quarterly basis using these same channels	The various forms of engagement listed ensured a continuous flow of feedback to the GLT and CEO Employee feedback ensures that employees' voices are heard by the Board through the CEO and taken into consideration The CEO directly addressed employees through monthly broadcasts during which he responded to feedback and explained actions being taken as a result The CEO also writes quarterly to all Partners in Pret ("PIP") members to respond to the feedback gathered from the PIP Forums
Pret has a dedicated "Pret Academy" providing training and development for a career pathway from Team Member to Team Leader to Assistant Manager to General Manager Pret is proud to recruit Team Members from all walks of life and the Group celebrates and values this diversity Pret regularly seeks employee feedback to obtain their views and facilitate shared learnings and cross-team collaboration using several channels, including an annual employee survey (the Big Conversation) and Partners in Pret ("PIP") PIP meets on a quarterly basis to discuss notable matters, including new initiatives and operating standards Key topics and themes arising from these meetings are assessed by management and common themes are forwarded to the CEO In addition, the shop managers regularly meet with the leaders of operations for coffee mornings to discuss their feedback about what is working well and what isn't in the shops Pret also runs a quarterly Diversity, Equity and Belonging forum where further feedback is gathered All employees across Pret can "ask the GLT" by submitting a question for the GLT to review and responses to these questions and answers are visible to all employees	The GLT review feedback from all the channels mentioned and action according to urgency and volume of feedback on a particular topic

For further details on the process behind principal decisions affecting employees, and for principal decisions made that impact the Group's employees, refer to the Section 172 Statement in the Strategic Report (on page 5) and on the website

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Streamlined Energy and Carbon Reporting

As the principal activity of the Company is to act as a holding company for the subsidiaries within the Group, the Company has had no commercial business and as such this report presents the results of Streamlined Energy and Carbon Reporting ("SECR") for Pret's UK based operations within Pret A Manger (Europe) Limited

The Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018 implement the government's latest policy on SECR

FY2025 performance overview

During FY25, Pret delivered a continued reduction in Greenhouse Gas ("GHG") emissions, with market-based emissions decreasing by 9% compared with FY24 This improvement reflects ongoing operational efficiency measures and sustained renewable electricity procurement across the estate

Electricity consumption, the most material driver of Pret's emissions profile, decreased by 11% year-on-year This reduction contributed to lower emissions across both Scope 2 and associated upstream energy emissions Location-based emissions decreased by 22%, reflecting the combined impact of reduced consumption and continued decarbonisation of the UK electricity grid, including reductions in Department for Environment, Food & Rural Affairs ("DEFRA") grid emission factors

Market-based electricity emissions decreased by 3% While overall electricity consumption declined, the reduction was partially moderated by changes in residual mix emission factors applied to non-renewable electricity supply, alongside Pret's continued procurement of renewable electricity across a significant proportion of sites

Natural gas usage remains limited to two sites and showed no material change during the year Additional minor reductions were observed in refrigerant emissions and upstream energy-related emissions, contributing to the overall improvement in performance compared with FY24

Energy and carbon actions

In the period covered by the report Pret has undertaken the following emissions and energy reduction initiatives

- At the end of FY24, Pret began a full rollout of new refrigeration units across UK shops This programme continued into FY25 These units are more energy efficient and use a refrigerant with a lower GWP value

Table 1 - Breakdown of consumption and carbon emissions, in tonnes of carbon dioxide equivalent (tCO2e), by scope and specific area for the calendar year, with comparison to the base year

Scope	Emission Source	2025	2024	Year-on-year change
Scope 1	Natural gas	36	35	2 9%
	Refrigerants	2,153	2,835	(24 1)%
Total Scope 1		**2,189**	**2,870**	**(23 7)%**
Scope 2	Electricity (Location-based)	8,087	10,679	(24 3)%
	Electricity (Market-based)	6,156	6,331	(2 8)%
Scope 3	Fuel and Energy Related Activities (FERA) not included in Scope 1 or Scope 2	1,705	1,902	(10 4)%
Total Scope 1, 2 and 3 (Location-based)		**11,981**	**15,451**	**(22 5)%**
Total Scope 1, 2 and 3 (Market-based)		**10,050**	**11,103**	**(9 5)%**

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Table 2 - Total energy usage (kWh)

	2025	2024	Year-on-year change
Total energy usage	45,884,529	51,767,245	(11 4)%

Table 3 - Overall carbon emissions with the intensity ratio and tCO2e for the calendar year, with comparison to the base year Intensity ratios are presented as tCO2e (gross)/£M turnover.

	tCO2e	Intensity Ratio
Current period (2025)	15,451	21 03
Base Period (2024)	11,981	17 00

Methodology

Pret has worked with a third-party expert, Accenture, to calculate its carbon inventory GHG emissions were calculated in line with the GHG Protocol and DEFRA Environmental Reporting Guidelines (SECR, 2019) An operational control approach was applied to define organisational boundaries UK emissions are reported for 1 January 2025 to 31 December 2025, with 2024 used as the comparative period

Emission sources and calculation approach

- Refrigerants (Scope 1) – Calculated using recorded refrigerant top-up quantities multiplied by DEFRA emission factors Where data gaps existed, consumption was estimated using averages from comparable sites
- Natural Gas (Scope 1) – Calculated using consumption data (kWh) Where actual data was unavailable, estimates were derived from prior year data or industry benchmarks and converted using DEFRA emission factors
- Electricity and Energy Related Activities (Scope 2 and Scope 3 Category 3) – Electricity emissions were calculated using site consumption data, with gaps estimated using consumption extrapolation Emissions were calculated using both location-based grid factors and market-based renewable or residual mix factors Associated upstream emissions from fuel extraction, processing and transmission losses were calculated using DEFRA well-to-tank and transmission and distribution emission factors

Pret does not operate on-site stationary fuel combustion sources, company owned vehicles, or employee mileage claims within the reporting boundary Consequently, no emissions have been reported for these sources

Tax

Pret pays taxes in the countries in which it operates

Pret's objective is to be a responsible taxpayer and operate within both the letter and spirit of tax legislation Accordingly, Pret does not use "tax havens" to reduce the Group's tax liability nor does Pret use marketed or aggressive tax avoidance schemes Pret utilises the framework of reliefs that are available, such as allowances on capital expenditure, to determine its tax liabilities

Ultimate responsibility for Pret's tax strategy remains with the Board of Directors of Pret Parent Holding Limited The Chief Financial Officer of the Group, Gustavo Peixoto, is the Group's Senior Accounting Officer responsible for tax compliance with HM Revenue & Customs

Pret publishes an annual tax strategy on its website in accordance with section 161 and schedule 19 of the UK Finance Act 2016

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Disclosure of information to auditors

The Directors who held office at the date of approval of this Directors' Report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware, and each Director has taken all the steps that he ought to have taken as a Director to make himself aware of any relevant audit information and to establish that the Company's auditor are aware of that information

Auditors

The auditors are deemed to be reappointed under the Companies Act 2006, s 487(2)

By Order of the Board

DocuSigned by
Konrad Meyer
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Konrad Meyer
Director
13 May 2026

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Pret Parent Holding Limited

Statement of Directors' Responsibilities in respect of the Annual Report, the Directors' Report and the Consolidated Financial Statements

For the 52 week period ended 1 January 2026

The Directors are responsible for preparing the Annual Report, the Directors' Report and the Group and Parent Company financial statements in accordance with applicable law and regulations

Company law requires the Directors to prepare Group and Parent Company financial statements for each financial year Under that law they have elected to prepare the Group financial statements in accordance with UK-adopted international accounting standards and applicable law and have elected to prepare the Parent Company financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and Parent Company and of the Group's profit or loss for that period In preparing each of the Group and Parent Company financial statements, the Directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable, relevant, reliable and prudent,
- for the Group financial statements, state whether they have been prepared in accordance with UK-adopted international accounting standards,
- for the Parent Company financial statements, state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements,
- assess the Group and Parent Company's ability to continue as a going concern, disclosing, as applicable, matters relating to going concern, and
- use the going concern basis of accounting unless they either intend to liquidate the Group or the Parent Company or to cease operations, or have no realistic alternative but to do so

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Parent Company's transactions and disclose with reasonable accuracy at any time the financial position of the Parent Company and enable them to ensure that its financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities

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Independent Auditor's Report to the Members of Pret Parent Holding Limited

For the 52 week period ended 1 January 2026

Opinion

We have audited the financial statements of Pret Parent Holding Limited ("the Company") for the 52 week period ended 1 January 2026 which comprise the Consolidated Income Statement, Consolidated Statement of Comprehensive Income/(Expense), Consolidated Statement of Financial Position, Consolidated Statement of Changes in Equity, Consolidated Cash Flow Statement, Company Statement of Financial Position, Company Statement of Changes in Equity and related notes, including the accounting policies in note 3

In our opinion

- the financial statements give a true and fair view of the Group's and of the parent Company's affairs as at 1 January 2026 and of the Group's loss for the period then ended,
- the Group financial statements have been properly prepared in accordance with UK-adopted international accounting standards,
- the parent Company financial statements have been properly prepared in accordance with UK accounting standards, including Financial Reporting Standard 101 *Reduced Disclosure Framework*, and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law Our responsibilities are described below We have fulfilled our ethical responsibilities under, and are independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Group or the Company or to cease their operations, and as they have concluded that the Group and the Company's financial position means that this is realistic They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period")

In our evaluation of the directors' conclusions, we considered the inherent risks to the Group's business model and analysed how those risks might affect the Group and Company's financial resources or ability to continue operations over the going concern period

Our conclusions based on this work

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate, and
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Group or Company's ability to continue as a going concern for the going concern period

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Group or the Company will continue in operation

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Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud Our risk assessment procedures included

- Enquiring of directors, the audit committee, internal audit and inspection of policy documentation as to the Group's high-level policies and procedures to prevent and detect fraud, including the internal audit function, and the Company's channel for "whistleblowing", as well as whether they have knowledge of any actual, suspected or alleged fraud
- Reading Board, audit committee minutes
- Considering remuneration incentive schemes and performance targets for management, directors and sales staff
- Using analytical procedures to identify any unusual or unexpected relationships

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, and taking into account possible pressures to meet profit targets, recent revisions to guidance and our overall knowledge of the control environment, we perform procedures to address the risk of management override of controls, in particular the risk that Group management may be in a position to make inappropriate accounting entries On this audit we do not believe there is a fraud risk related to revenue recognition because there is limited perceived pressure and opportunity due to the nature of revenue and the conversion of revenue to cash receipts there is limited opportunity for fraudulent material revenue recognition to occur

We did not identify any additional fraud risks

We performed procedures including

- Identifying journal entries to test at the Group level and for selected components based on risk criteria and comparing the identified entries to supporting documentation These included journal entries with unusual characteristics compared to the total journal population

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit

The potential effect of these laws and regulations on the financial statements varies considerably

Firstly, the Group is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items

Secondly, the Group is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation or the loss of the Group's license to operate We identified the following areas as those most likely to have such an effect health and safety, data protection laws, anti-bribery, employment law, regulatory capital and liquidity, PCI compliance, Money Laundering regulations, Foreign corrupt policies act, Environmental protection laws, Consumer rights law, recognising the nature of the Group's activities

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Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any Therefore, if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls Our audit procedures are designed to detect material misstatement We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge Based solely on that work

- we have not identified material misstatements in the strategic report and the directors' report,
- in our opinion the information given in those reports for the financial year is consistent with the financial statements, and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006

Matters on which we are required to report by exception

Under the Companies Act 2006, we are required to report to you if, in our opinion

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us, or
- the parent Company financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

We have nothing to report in these respects

Directors' responsibilities

As explained more fully in the their statement set out on page 34, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, assessing the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern, and using the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so

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Independent Auditor's Report to the Members of Pret Parent Holding Limited

For the 52 week period ended 1 January 2026

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements

A fuller description of our responsibilities is provided on the FRC's website at www frc org uk/ auditorsi esponsibilities

The pui pose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed

Signed by
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Aimie Keki (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants
15 Canada Square
Canary Wharf
E14 5GL

13 May 2026

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Pret Parent Holding Limited
Consolidated Income Statement
For the 52 week period ended 1 January 2026

Group	Notes	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Revenue	6	**854.1**	**868.4**
Cost of sales		(463 6)	(453 4)
Gross profit		**390 5**	**415 0**
Administrative expenses		(355 0)	(870 5)
Other income		1 4	4 0
Operating profit/(loss)	7	**36 9**	**(451 5)**
Finance income		0 9	13 9
Finance costs		(69 6)	(86 5)
Net finance costs	9	**(68 7)**	**(72 6)**
Share of loss from equity accounted investees, net of tax	15	(0 9)	(1 1)
Gain on bargain purchase	16	0 6	—
Loss before tax		**(32 1)**	**(525 2)**
Tax (expense)/credit	10	(22 5)	27 3
Loss for the period		**(54 6)**	**(497 9)**

All of the Group's activities in the period are derived from continuing operations

The notes on pages 44 to 96 form part of these consolidated financial statements

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Pret Parent Holding Limited

Consolidated Statement of Comprehensive Income/(Expense)

For the 52 week period ended 1 January 2026

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Loss for the period	(54 6)	(497 9)
Other comprehensive income/(expense) - items that may be reclassified to profit or loss		
Exchange differences on translation of foreign operations	0 2	0 9
Tax (charge)/credit on above items	(2 0)	0 5
Other comprehensive (expense)/income for the period, net of tax	(1 8)	1.4
Total comprehensive expense for the period	(56 4)	(496.5)

The notes on pages 44 to 96 form part of these consolidated financial statements

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Pret Parent Holding Limited
Consolidated Statement of Financial Position
As at 1 January 2026

Group	Notes	1 January 2026 £m	2 January 2025 £m
Property, plant and equipment	12	66 3	59 5
Right-of-use assets	13	352 3	252 5
Intangible assets and goodwill	14	1,023 5	1,021.1
Investment in joint venture	15	—	1 1
Trade and other receivables	20	8 2	6 9
Other non-current assets	17	5 9	6 3
Deferred tax assets	18	18 7	14 3
Total non-current assets		**1,474 9**	**1,361 7**
Inventories	19	10 0	9 2
Trade and other receivables	20	30 2	40 4
Cash and cash equivalents		18 7	23 3
Assets held for sale	21	—	3 8
Total current assets		**58 9**	**76 7**
Total assets		**1,533 8**	**1,438 4**
Loans and borrowings	22	(133 1)	(116 2)
Lease liabilities	13	(103 4)	(94 6)
Trade and other payables	23	(155 8)	(143 9)
Other liabilities	24	(40 0)	(27 2)
Income tax		(3 0)	(2 2)
Provisions	25	(2 9)	(3 3)
Derivatives	22	(3 2)	(9 2)
Liabilities directly associated with the assets held for sale	21	—	(3 7)
Total current liabilities		**(441.4)**	**(400 3)**
Loans and borrowings	22	(420 3)	(411 1)
Lease liabilities	13	(322 6)	(245 5)
Other liabilities	24	(20 8)	(18 5)
Provisions	25	(7 9)	—
Deferred tax liability	18	(32 8)	(5 5)
Total non-current liabilities		**(804 4)**	**(680 6)**
Total liabilities		**(1,245 8)**	**(1,080 9)**
Net assets		**288.0**	**357.5**
Share capital	26	0 3	0 3
Share premium	26	837 8	913 2
Treasury shares	26	(7 2)	(7 2)
Foreign currency translation reserve		(39 5)	(39 7)
Retained earnings		(503 4)	(509 1)
Total equity		**288 0**	**357.5**

The notes on pages 44 to 96 form part of these consolidated financial statements

These financial statements were approved by the Board of Directors on 13 May 2026 and were signed on its behalf by

DocuSigned by:
Konrad Meyer
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Konrad Meyer
Director
Company Registration Number 13383544

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Pret Parent Holding Limited
Consolidated Statement of Changes in Equity
For the 52 week period ended 1 January 2026

Group	Notes	Share capital £m	Share premium £m	Treasury shares £m	Foreign currency translation reserve £m	Retained earnings £m	Total equity £m
At 29 December 2023		**0.2**	**662 5**	**(13 7)**	**(40 6)**	**(15 4)**	**593.0**
Loss for the period		—	—	—	—	(497 9)	(497 9)
Other comprehensive income/(expense) for the period		—	—	—	0 9	0 5	1.4
Total comprehensive income/ (expense) for the period		—	—	—	0 9	(497 4)	(496.5)
Issue of share capital	26	0 1	250 1	—	—	—	250 2
Movement in treasury shares		—	—	6 5	—	—	6 5
Movement in put option		—	0 6	—	—	—	0.6
Capital contribution		—	—	—	—	6 3	6.3
Dividend	26	—	—	—	—	(2 0)	(2 0)
Opening balance update - deferred tax	18	—	—	—	—	(0 6)	(0 6)
At 2 January 2025		**0 3**	**913 2**	**(7 2)**	**(39 7)**	**(509 1)**	**357 5**

Group	Notes	Share capital £m	Share premium £m	Treasury shares £m	Foreign currency translation reserve £m	Retained earnings £m	Total equity £m
At 3 January 2025		**0 3**	**913.2**	**(7 2)**	**(39 7)**	**(509 1)**	**357 5**
Loss for the period		—	—	—	—	(54 6)	(54 6)
Other comprehensive income/(expense) for the period		—	—	—	0 2	(2 0)	(1.8)
Total comprehensive income / (expense) for the period		—	—	—	0.2	(56 6)	(56.4)
Issue of share capital	26	—	—	—	—	—	—
Share premium reduction	26	—	(75 4)	—	—	75 4	—
Capital contribution		—	—	—	—	6 2	6.2
Dividend	26	—	—	—	—	(19 3)	(19.3)
At 1 January 2026		**0 3**	**837 8**	**(7.2)**	**(39 5)**	**(503.4)**	**288 0**

The notes on pages 44 to 96 form part of these consolidated financial statements

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Pret Parent Holding Limited
Consolidated Cash Flow Statement
For the 52 week period ended 1 January 2026

Group	Notes	1 January 2026 £m	2 January 2025 £m
Cash flows (used in)/generated from operating activities			
Loss before tax		(32 1)	(525 2)
Adjustments to reconcile loss before tax to net cash flows			
Depreciation, amortisation, impairment and loss on disposal	12,13,14	86 2	611 6
Lease modifications	13	0 3	(1 2)
Net foreign exchange differences		2 3	(13 1)
Share-based payment expense	28	0 3	2 2
Fair value movement on put option liability		12 2	(15 4)
Bargain purchase gain	16	(0 6)	—
Financing costs	9	66 5	85 7
Cash flows generated from operating activities before movements in working capital		**135.1**	**144.6**
Decrease/(increase) in trade and other receivables		2 4	(6 0)
Decrease/(increase) in inventories		0 4	(2 3)
Increase/(decrease) in trade and other payables		11 5	(20 6)
Cash flows generated from operating activities		**149 4**	**115.7**
Income tax (paid)/received		(0 7)	0 4
Net cash flows generated from operating activities		**148.7**	**116 1**
Cash flows generated used in investing activities			
Purchase of property, plant and equipment		(17 0)	(17 5)
Purchase of intangible assets		(6 5)	(4 5)
Proceeds from the sale of shop disposals		2 2	8 5
Cash acquired on acquisition of subsidiary	16	4 5	—
Acquisition of equity accounted investment		—	(1 1)
Net cash flows used in investing activities		**(16 8)**	**(14 6)**
Cash flows generated from financing activities			
Proceeds from borrowings	22	184 7	42 0
Proceeds from equity injection		—	256 7
Bank interest paid		(47 7)	(67 9)
Repayment of borrowings	22	(170 3)	(251 5)
Payment of the principal lease liabilities		(67 4)	(74 1)
Net lease interest paid		(16 2)	(15 8)
Dividends paid	26	(19 3)	(2 0)
Net cash flows used in financing activities		**(136.2)**	**(112 6)**
Net (decrease) in cash and cash equivalents		(4 3)	(11 1)
Net foreign exchange difference		(0 3)	0 5
Cash and cash equivalents at the start of the period		23 3	33 9
Cash and cash equivalents at the end of the period		**18.7**	**23.3**

The notes on pages 44 to 96 form part of these consolidated financial statements

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1. General information

These financial statements consolidate Pret Parent Holding Limited (the "Company") and its subsidiaries (collectively the "Group") for the 52 week period ended 1 January 2026 ("2025" or "the period") and were authorised for issue by the Company's Board of Directors on 13 May 2026

The Company is a private company limited by shares, incorporated, domiciled and registered in England and Wales in the UK The Company's registered office and principal executive office are located at 75B Verde, 10 Bressenden Place, London, SW1E 5DH The Company's registered number is 13383544

The Company takes advantage of section 390 of the Companies Act 2006 and prepares financial statements to the nearest Thursday to the financial year end without changing its 30 December accounting reference date

The Group's principal activity is the retailing of food and drink

2. Basis of preparation

The consolidated financial statements and accounting policies have been prepared in accordance with UK-adopted International Accounting Standards ("UK-adopted IFRSs"), comprising International Financial Reporting Standards ("IFRS") and related Interpretations issued by the International Accounting Standards Board ("IASB")

All financial information has been presented in millions and rounded to one decimal place, except where otherwise indicated

Measurement convention

The financial statements are prepared on the historical cost basis except that the following assets and liabilities are stated at their fair value certain financial assets and financial liabilities (including derivatives) measured at fair value and liabilities for cash-settled share-based payments Non-current assets and disposal groups held for sale are stated at the lower of previous carrying amount and fair value less costs to sell

Going concern

The consolidated financial statements have been prepared on a going concern basis based on the Directors' assessment summarised below

At the end of the current financial year, the Group has net current liabilities of £382 5 million and available liquidity of £76 7 million (Cash £17 8 million, Undrawn Senior Facility £58 9 million) The Group also has an undrawn shareholder standby facility of £200 million which has been extended to a new maturity date of October 2026

Looking forward, global economic conditions give rise to further uncertainty, as high levels of inflation and economic recession across the Group's markets could impact on both consumer spending and the Group's cost base The Directors have undertaken a detailed assessment of the impact that these risks could have on the Group's cash flows for a period of 12 months from the date of approval of these financial statements (the "going concern assessment period") In carrying out their assessment, the Directors have considered various performance scenarios, including downside scenarios considered severe, yet plausible These scenarios include reductions in forecast revenues across the Group's markets arising from reduced demand in the existing portfolio as well as lower than expected growth in the number of equity and franchise shops in the portfolio Management have also modelled the impact of planned operating cost control measures not being achieved, resulting in a weaker operating profit margin In all scenarios the Group continues to have the resources to meet its liabilities as they fall due

Furthermore these downside scenarios have also been factored into the covenant assessments Following an amendment and extension of the facilities in the year, the facilities now include a Minimum Liquidity covenant and a Leverage Ratio covenant The group is planning to comply with the leverage covenant under both the base

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case scenarios and the severe but plausible downside scenarios When assessing the severe but plausible downside scenario's for the Leverage Ratio covenant, use of the equity cure mechanism within the financing agreement is required to meet the required ratios The equity cure gives the Group the ability to draw down the shareholder standby facility to 'cure' the Leverage covenant if needed Less than 10% of the shareholder standby facility is required to cure the Leverage covenant in the downside scenarios No use of the equity cure is required under the base case

During the year both Term A and Term B loan maturities were extended to March 2029 which has been considered by the Directors Whilst there is always risk associated with a refinancing event, given that the maturity is beyond the assessment period as well as the progress of the business and the improvement of the net debt position, the directors do not consider there to be a material uncertainty in this regard

Whilst there are factors which are outside of the Directors' control, including unpredictability in consumer spending as a result of macroeconomic factors, the Directors have a reasonable expectation that the Group and company can continue in operation and meet their liabilities as they fall due for the going concern assessment period and therefore have concluded that the going concern basis of preparation is appropriate for the current period

3. Summary of significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and have been applied consistently by all subsidiaries

Judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 4

3.1. Basis of consolidation

Business combinations

Business combinations are accounted for using the acquisition method The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets Acquisition-related costs are expensed as incurred and included in administrative expenses

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date

Any contingent consideration to be transferred by the acquirer is recognised at fair value at the acquisition date Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity Otherwise, subsequent changes to the fair value of the contingent consideration are recognised in profit or loss

Subsidiaries

Subsidiaries are entities controlled by the Group The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity The financial statements of subsidiaries are included in the consolidated financial statements using the acquisition method from the date that control commences until the date that control ceases

Interests in equity-accounted investees

The Group's interests in equity-accounted investees comprise of interest in a joint venture

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A joint venture is an arrangement in which the Group has joint control, whereby the Group has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities The interest in the joint venture is accounted for under the equity method The interest is initially recognised at cost Subsequently the consolidated financial statements includes the Group's share of the profit or loss and other comprehensive income of the joint venture

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains arising from intra-group transactions, are eliminated Unrealised losses are also eliminated, unless the transaction provides evidence of an impairment of the transferred asset

3.2. Foreign currencies

The consolidated financial statements are presented in Sterling, which is the Group's functional and presentation currency

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at the foreign exchange rate ruling at the dates of the transactions Monetary assets and liabilities denominated in foreign currencies at the statement of financial position date are retranslated to the functional currency at the foreign exchange rate ruling at that date Non-monetary assets and liabilities denominated in foreign currencies, that are measured at historical cost, are initially recognised at the exchange rate at the date of the transaction and not remeasured subsequently Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are remeasured to the functional currency at foreign exchange rates ruling at the dates the fair value was determined Foreign exchange differences arising on translation are recognised in profit or loss except for intercompany loans designated as equity which are reported as an item of other comprehensive income ("OCI") and accumulated in the Foreign Currency Translation Reserve

The assets and liabilities of foreign operations, including foreign-denominated adjustments arising on consolidation, are translated to the Group's presentation currency at foreign exchange rates ruling at the statement of financial position date The revenues and expenses of foreign operations are translated at an average rate for the period where this rate approximates to the foreign exchange rates ruling at the dates of the transactions Exchange differences arising from this translation of foreign operations are reported as an item of OCI and accumulated in the Foreign Currency Translation Reserve

3.3 Revenue

Retail sales

The Group generates revenue from retail sales through the sale of goods to customers and subscription revenue Sales to customers include in-store and corporate customers

i *Sales to customers in-store*

A revenue contract is entered into by the customer at the point of sale when an order is placed in-store The Group's performance obligation to provide the food and drink products ordered by the customer is satisfied, and revenue recognised, at the point of sale

ii *Sales to corporate customers*

Sales to corporate customers are those placed through the Pret Delivers Application The Group enters into a contract when an order is placed paid for by a corporate customer The up-front payment received with the order is deferred until the Group's performance obligations are satisfied and the ordered products are delivered to the customer

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Revenue from retail sales is measured at the amount for which products are sold less any cash or volume discounts, excluding value added tax and other sales taxes

iii Coffee subscriptions

Subscription revenue arises from charging customers a monthly fee for the provision of beverage products, subject to certain limitations Customers are billed in advance of the start of their subscription and revenues are recognised over the subscription period

Revenue from coffee subscriptions is measured as the amount of the monthly fee less any discounts, excluding value added tax and other sales taxes

Gift cards and loyalty programme

Sales of gift cards are deferred until the Group has fulfilled its obligations on redemption of the gift card in a Pret a Manger shop

Where customers earn loyalty points on a revenue transaction, a proportion of the consideration received for the transaction is deferred until the points are redeemed by the customer and the performance obligation fulfilled

Right of return – retail sales

Customers have an inherent right of return relating to their purchase of products from the Group Based on the perishable nature of the goods sold, there is a negligible timing difference between the point of sale and any return Instances of returns occur very infrequently and have an immaterial impact on the revenue reported by the Group

Contracts with franchise partners

Franchise royalty fees are generated through partnership agreements the Group holds and are calculated as a percentage of sales as determined by the each of the franchise partner agreements Revenues from franchising are variable payments that do not become fixed and determinable until the month in which it is earned These variable royalty fees are recognised as revenue in the same period corresponding to the sales base used in the calculation

Other fixed fees within the franchise agreements are recognised as the Group satisfies the additional obligations within the franchise agreements which include, but are not limited to, shop opening fees, marketing fees, training and operations support fees Revenue is also recognised for the sale of fresh ingredients and packaging to certain franchise partner stores

Payments received in advance are deferred until the Group satisfies the relevant performance obligations

3.4. Employee benefits

Defined contribution plans

The Group operates a defined contribution pension plan under which the Group pays fixed contributions, and which are recognised as an expense in profit or loss as incurred The Group has no further payment obligations once the contributions have been paid

Share-based payment transactions

The Group operates three share-based payment plans – an Executive Ownership Plan ("EOP"), a Long Term Incentive Plan ("LTIP") and Partners in Pret ("PIP") All of the plans are operated by Pret Parent Holding Limited apart from PIP which is operated by the employing subsidiaries and are accounted for as cash-settled plans

The EOP allows eligible employees to purchase shares in Pret Parent Holding Limited, with their minimum and maximum investment opportunity being based on their annual base salary The investment shares are matched

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100% with Restricted Stock Units ("RSUs" or 'matching awards") Within the agreement to acquire the investment shares, the employee is also provided with a put option to sell the shares back to the Company for their fair value at that date The put liability is initially recorded at fair value at the date of issue of investment shares and is remeasured at each reporting date at fair value through the profit or loss These matching awards vest on the 54-month anniversary of the grant date The participants can sell their purchased shares and the shares acquired upon vesting of RSUs after a six-month holding period, with Pret Parent Holding Limited having the obligation to repurchase the shares in such cases

EOP participants may also be granted Series A Preferred shares in Pret Parent Holding Limited, which will vest on the 54-month anniversary of the grant date and can either be settled in cash or in B ordinary shares at the company's option The Series A Preferred Shares are subject to market conditions which have been accounted for when determining the fair value of the shares

The LTIP grants eligible employees Pret Parent Holding Limited RSUs, which vest in tranches up to the 54-month anniversary of the date of grant The participants under the LTIP have the right to sell the shares received upon vesting of RSUs after a six-month holding period to Pret Parent Holding Limited

The PIP is a cash-settled stock compensation scheme that grants phantom shares to eligible employees These awards vest on the 5-year anniversary of the date of grant and are settled by the employing subsidiaries in cash

A liability is recognised for the fair value of the awards outstanding under each of these schemes at the statement of financial position date The fair value is measured initially and at each statement of financial position date up to and including the settlement date, with changes in fair value recognised in employee benefits expense The fair value is expensed to profit or loss over the vesting period with the recognition of a corresponding liability

The Group estimates forfeitures at the time of grant and revises those estimates in subsequent periods if actual forfeitures differ or are expected to differ

Employer national insurance and other social security costs incurred on the plans are accounted for as an employee benefits expense over the vesting period, consistent with the cash-settled accounting principles under IFRS 2 *Share Based Payments*

Where the Group has a liability to repurchase shares issued to participants in these schemes, a liability is recognised at fair value using the period end share price

3.5. Expenses

Financing income and expenses

Financing expenses comprise interest payable and interest arising on the amortised cost approach of debt and the unwinding of the discount on provisions Financing income comprises interest receivable on funds invested

Interest receivable and interest payable is recognised in profit or loss as it accrues, using the effective interest method Foreign currency gains and losses are reported on a net basis as finance income or expense

3 6. Income taxes

Tax on the profit or loss for the period comprises current and deferred tax Tax is recognised in profit or loss except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity

Current tax is the expected tax payable or receivable on the taxable income or loss for the period, using tax rates enacted or substantively enacted at the statement of financial position date, and any adjustment to tax payable in respect of previous periods

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes

The following temporary differences are not provided for

- the initial recognition of goodwill,
- the initial recognition of assets or liabilities that affect neither accounting nor taxable profit other than in a business combination, and
- differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future

The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the statement of financial position date

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised

The carrying amount of deferred tax assets is reviewed at each statement of financial position date and reduces to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered

3.7. Alternative performance measures

In the reporting of financial information, the Directors use alternative performance measures ("APMs") which they believe provide additional useful information for understanding the financial performance of the Group These measures are not defined by IFRS and therefore may not be directly comparable with other companies' APMs, including those in the Group's industry APMs should be considered in addition to IFRS measurements and are not intended to be a substitute for, or superior to those

Adjusted EBITDA – this is the headline measure of the Group's performance and reflects the statutory Operating profit/(loss) excluding depreciation and amortisation, impairments of property, plant and equipment, intangible assets and right of use assets as well adjusting items per the policy below

Expenses and income relating to share-based payments and the put option liability are also excluded on the basis that the valuation of the awards is subject to changing market conditions, such as interest and long term forecast inflation rates, which are not within the Group's control The awards are also issued as part of the EOP and are not performance related Management therefore consider the expense to be largely uncorrelated with the underlying trading performance of the business

Adjusting items

Adjusting items include certain cash and non-cash items and is a measure not ordinarily defined or recognised by IFRS As a result, adjusting items are defined by the Group as material items of expense or income that have a pattern of recognition that is uncorrelated with the trading performance of the business and if included, these items could distort the understanding of performance for the year as well as the comparability between periods

When assessing the nature of the item, consideration is given to the following areas

- Whether the item is outside of the normal trading course of business,
- The circumstances which have led to the item arising,
- The likelihood of recurrence, and
- Where the item is likely to recur or take place over several years and whether its occurrence is an indication of a new way of operating

3.8. Property, plant and equipment

Property, plant and equipment ("PPE") are stated at cost less accumulated depreciation and accumulated impairment losses Where parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items

Depreciation is charged to profit or loss to write off cost less estimated residual value of an item of property, plant and equipment. The estimated useful lives and depreciation methods are as follows

Asset Class	Depreciation policy
Leasehold improvements	Over the period of the lease
Fixtures and fittings	3 to 6 years straight line
Computer equipment	3 to 5 years straight line

Depreciation methods, useful lives and residual values are reviewed at each statement of financial position date Depreciation on new shops is charged from the shop opening date Progress payments for assets in the course of construction are allocated to short leasehold land and building and fixtures and fitting ratios derived from similar projects completed in the preceding months The ratios are reviewed annually

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset All other borrowing costs are expensed in the period in which they occur Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds

3.9. Leases

At contract inception, the Group assesses whether a contract is, or contains, a lease That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration

Group as lessee

The Group applies a single recognition and measurement approach (the 'right-of-use model') for all its leases, except for short-term leases and leases of low-value assets In accordance with the right-of-use model, the Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets

i) Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i e the date the underlying asset is made available for use to the lessee) Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, lease payments made at or before the commencement date less any lease incentives received and the estimated costs of returning the leased asset in line with the terms of the lease

On implementation of IFRS 16 *Leases* ("IFRS 16"), payments to a landlord or tenant to acquire the rights of tenancy under a commercial property lease in France (referred to as "Key money") are recognised as initial direct costs as part of the right-of-use asset It is expected that these amounts would be recovered upon exit of the lease and therefore also represent the residual value of the right-of-use asset

Right-of-use assets are depreciated straight line over the shorter of the lease term and the estimated useful lives of the assets

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset

The Group's right-of-use assets are also subject to the impairment principles of IAS 36 *Impairment of Assets* Refer to note 3 11 for the Group's accounting policy on impairment and note 13

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ii) Lease liabilities

At commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term Lease payments include fixed payments (including in-substance fixed payments and minimum guaranteed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees Lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate

Variable lease payments that do not depend on an index or a rate, e g that depend on sales or performance, are expensed to profit or loss when the event or condition which triggers the amount payable, occurs

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date where the interest rate implicit in the lease is not readily determinable Subsequently, lease liabilities are increased to reflect the accretion of interest expense and reduced for lease payments made In addition, the carrying amount of lease liabilities is remeasured if there is a modification of the lease contract, a change in the lease term, a change in lease payments (e g changes to future payments resulting from a change in an index or rate used to determine such lease payments), or a change in the assessment of an option to purchase the underlying asset

iii) Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its leases that have a lease term of 12 months or less from commencement date and do not contain a purchase option It also applies the low-value assets recognition exemption to leases of office equipment that are considered to be of low value

Lease payments of short-term leases and leases of low value assets are recognised as an expense to profit or loss on a straight-line basis over their lease term

Group as intermediate lessor

The Group acts as an intermediate lessor when it subleases an asset, which itself is leased under a separate head lease The Group accounts for its interests in the head lease and the sublease separately The lease classification of a sublease is determined with reference to the right-of-use asset arising from the head lease, not the underlying asset Therefore, where a sublease is for the majority of the head lease's lease term, the lease is classified as an finance lease If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sublease as an operating lease

Finance sublease

In the event that the sublease is classified as a finance lease, on commencement of the sublease, the Group

- derecognises the right-of-use asset relating to the head lease that it transfers to the sub-lessee and recognises a net investment in the sublease,
- recognises any difference between the right-of-use asset and the net investment in the sublease in profit or loss, and
- retains the lease liability relating to the head lease in its statement of financial position, which represents the lease payments owed to the head lessor

Subsequently, the net investment in the sublease is increased to reflect the accretion of interest income and reduced for lease payments received In addition, the carrying amount of the net investment in the sublease liabilities is remeasured if there is a modification of the lease contract or a change in lease payments (e g changes to future payments resulting from a change in an index or rate used to determine such lease payments)

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Operating sublease

Sublease income on operating leases The Group recognises lease payments received under operating leases as income in profit or loss on a straight-line basis over the lease term Cash flows from operating leases are classified as operating activities

3.10. Intangible assets

Goodwill

Goodwill is initially measured at cost (representing the excess of the fair value of the consideration given over the fair value of the separable net assets acquired) arising on consolidation, and subsequently measured at cost less accumulated impairment losses

Brand name

Brand name reflects the Group's trading name, including "Pret A Manger" Brand names are initially measured at cost and are subsequently measured at cost less accumulated impairment losses

Software and licences

Software is stated at cost less accumulated amortisation and less accumulated impairment losses

Development expenditure is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Group intends to and has sufficient resources to complete development and to use or sell the asset Development activities involve a plan or design for the production of new or substantially improved products or processes The expenditure capitalised includes the cost of materials, direct labour and an appropriate proportion of overheads and capitalised borrowing costs Other development expenditure is recognised in profit or loss as an expense as incurred

Expenditure on research activities is recognised in profit or loss as an expense as incurred

Amortisation

Amortisation is charged to profit or loss on a straight-line basis over the estimated useful lives of intangible assets unless such lives are indefinite Intangible assets with an indefinite useful life and goodwill are systematically tested annually for impairment or if events or changes in circumstances indicate that the carrying value may not be recoverable Other intangible assets are amortised from the date they are available for use The estimated useful lives are as follows

Asset Class	Amortisation policy
Goodwill	N/A - Indefinite useful life
Brand name	N/A - Indefinite useful life
Re-acquired right	8 years straight line
Software and licenses	1 to 5 years straight line

3.11. Impairment of non-financial assets

The carrying values of the Group's non-financial assets, other than inventories, contract assets and deferred tax assets, are reviewed for impairment if events indicate that the carrying value of the asset may not be recoverable If such an indicator exists and where the carrying values exceed the estimated recoverable amount, an impairment loss is recognised and the assets are written down to their recoverable amounts Goodwill and intangible assets that have indefinite useful lives are tested annually for impairment, or more frequently if events or changes in circumstances indicate that the carrying value may not be recoverable

For impairment testing, assets are grouped together into the smallest group of assets - cash-generating unit ("CGU") - that generates cash inflows from continuing use that are largely independent of other assets or CGUs

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Goodwill arising from a business combination is allocated to CGUs that are expected to benefit from the synergies of the combination

An asset's recoverable amount is the greater of the fair value less costs to sell, and the value in use In assessing value in use, the estimated future cash flows are discounted to present value using a pre-tax discount rate that reflects the current market assessments of the time value of money and risks specific to the asset

Impairment losses, and any reversal of such losses, are recognised in profit or loss They are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amounts of the other assets in the CGU on a pro rata basis An impairment loss in respect of goodwill is not reversed For other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised

3.12. Inventories

Inventories consist of ingredients and goods purchased for resale and are stated at the lower of cost and net realisable value Cost is based on the purchase price and includes expenditure incurred in acquiring the inventories and other costs in bringing them to their existing location and condition

3.13. Assets and liabilities held for sale

The Group classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell Costs to sell are the incremental costs directly attributable to the disposal of an asset (disposal group), excluding finance costs and income tax expense

The criteria for held for sale classification is regarded as met only when the sale is highly probable, and the asset or disposal group is available for immediate sale in its present condition Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn Management must be committed to the plan to sell the asset and the sale expected to be completed within one year from the date of the classification

Property, plant and equipment, right of use assets and intangible assets are not depreciated or amortised once classified as held for sale

Assets and liabilities classified as held for sale are presented separately as current items in the statement of financial position

3.14. Financial instruments

Recognition and initial measurement

Trade receivables and debt securities issued are initially recognised when they are originated All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss A trade receivable without a significant financing component is initially measured at the transaction price

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Financial assets

Classification

On initial recognition, financial assets are classified in the following measurement categories

- those to be measured at amortised cost, and
- those to be measured subsequently at fair value, either through profit or loss ("FVPL") or through OCI ("FVOCI")

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows A financial asset is measured at amortised cost if it meets both the following conditions

- it is held within a business model whose objective is to hold assets to collect contractual cash flows, and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

Debt investments that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI For investments in equity instruments that are not held for trading, the Group may elect to make an irrevocable election at the time of initial recognition to account for the equity investment at FVOCI The Group has no financial assets measured at FVOCI

Financial assets that do not meet the criteria for measurement at amortised cost or FVOCI are measured at FVPL This includes all derivative financial assets

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model

Subsequent measurement

- Financial assets at amortised cost These assets are subsequently measured at amortised cost using the effective interest rate method The amortised cost is reduced by impairment losses Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss Any gain or loss on derecognition is recognised in profit or loss
- FVPL These assets are subsequently measured at fair value Net gains and losses are recognised in profit or loss

Impairment

Subsequently to initial recognition, the Group recognises loss allowances for expected credit losses ("ECLs") on financial assets measured at amortised cost

The Group measures loss allowances at an amount equal to lifetime ECL, except for other debt securities and bank balances for which credit risk (i e the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition, which are measured as 12-month ECL Loss allowances for trade receivables and contract assets are always measured at an amount equal to lifetime ECL

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECL, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due The Group considers a financial asset to be in default when

- the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held), or
- the financial asset is more than 180 days past due

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Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months) The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk

ECLs are a probability-weighted estimate of credit losses Credit losses are measured as the present value of all cash shortfalls (i e the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive) ECLs are discounted at the effective interest rate of the financial asset

At each reporting date, the Group assesses whether financial assets carried at amortised cost are credit-impaired A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery

Financial liabilities and equity

Financial instruments issued by the Group are treated as equity only to the extent that they meet the following two conditions

- they include no contractual obligations upon the Group to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Group, and
- where the instrument will or may be settled in the Group's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the Group's own equity instruments or is a derivative that will be settled by the Group's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability Where the instrument so classified takes the legal form of the Group's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares

Financial liabilities are classified as measured at amortised cost or FVPL A financial liability is classified as at FVPL if it is classified as held-for-trading, it is a derivative, or it is designated as such on initial recognition Financial liabilities at FVPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss Other financial liabilities are subsequently measured at amortised cost using the effective interest method Interest expense and foreign exchange gains and losses are recognised in profit or loss

Derecognition

Financial assets

The Group derecognises a financial asset when

- the contractual rights to the cash flows from the financial asset expire, or
- it transfers the rights to receive the contractual cash flows in a transaction in which either
    - substantially all of the risks and rewards of ownership of the financial asset are transferred, or
    - the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset

In cases where the Group enters into transactions whereby it transfers assets recognised in its statement of financial position but retains either all or substantially all of the risks and rewards, the transferred assets are not derecognised

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Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss

Derivative financial instruments and hedging

The Group does not apply formal hedge accounting, therefore its derivative financial instruments measured at FVPL are not designated as hedging instruments under IFRS 9 *Financial Instruments* ("IFRS 9")

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest

Non-derivative financial instruments

Trade and other receivables

Trade and other receivables are recognised at amortised cost less provision for doubtful debts The provision for doubtful debts is calculated by reviewing lifetime expected credit losses using historic and forward-looking data on credit risk

Trade and other payables

Trade and other payables are recognised at fair value All trade and other payables are expected to be short term and therefore no discounting of future cash flow is appropriate The fair value of trade and other payables approximate the carrying value

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits Cash, for the purpose of the Consolidated Cash Flow Statement, comprises cash at bank both in hand and in transit and deposits repayable on demand Cash in transit includes cash and credit card payments which have been processed and approved in the period but collected after the balance sheet date within 5 business days

The Group considers all highly liquid investments with an original maturity at the time of purchase of 3 months or less to be cash equivalents Certain cash balances are set aside for specific purposes and are not readily available – these are classified as Restricted cash Restricted cash balances are deposits in place to secure certain leases in France

Interest-bearing loans and borrowings

Interest-bearing loans and borrowings are recognised at amortised cost plus accumulated unpaid interest costs incurred, net of deferred financing costs

Purchase rebates and other amounts received from suppliers

Rebates and other amounts received from suppliers are treated as a deduction from the related operating costs or cost of assets acquired

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3.15. Provisions

A provision is recognised when the Group has a present legal or constructive obligation as a result of a past event, that can be reliably measured, and it is probable that an outflow of economic benefits will be required to settle the obligation

4. Accounting estimates and judgements

In preparing these consolidated financial statements, management has made judgements and estimates that affect the application of the Group's accounting policies and the reported amounts of assets, liabilities, income and expenses Actual amounts and results may differ from these estimates

The estimates and underlying assumptions are reviewed on an ongoing basis Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods

4.1. Critical judgements in applying the Group's accounting policies

In the process of applying the Group's accounting policies, management have made the following judgements, which have the most significant effect on the amounts recognised in the consolidated financial statements

4 1 1 Adjusting items

Management have exercised its judgement in determining whether items are accounted for as adjusting items in the notes to the consolidated financial statements In highlighting these items, management have assessed the both nature and quantum of these items with a view to form their opinion of the underlying performance of the Group

4 1 2 Tax

The Group has calculated an income tax provision in each of the jurisdictions in which it operates However, actual amounts of income tax expense only become final upon filing and acceptance of the tax return by the relevant authorities, which occurs subsequent to the issuance of the consolidated financial statements Additionally, estimation of income taxes has included evaluating the recoverability of deferred tax assets based on an assessment of the ability to use the underlying future tax deductions before they expire against future taxable income The assessment has been based upon existing tax laws and estimates of future taxable income To the extent estimates differ from the final tax return, earnings would be affected in a subsequent period

The Group is subject to corporate taxes in a number of jurisdictions and a degree of estimation and judgement is required in determining the appropriate tax provision for transactions where the tax treatment is uncertain In these circumstances, the Group recognises provisions for taxes based on information available where the anticipated liability is both probable and estimable

4.2. Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial period, have been described below The accounting estimates, by definition, may change due to market changes or circumstances arising that are beyond the control of the Group Such changes are reflected in the assumptions when they occur

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4 2 1 Non-financial assets impairment testing

Under IFRS, goodwill and other indefinite life intangible assets must be tested for impairment on at least an annual basis Other non-financial assets must be tested for impairment where an indicator of impairment exists As disclosed further in notes 12, 13 and 14, this testing generally requires management to make multiple estimates to determine the recoverable amount, for example around individual market pressures and forces, expected future cash-inflows, terminal growth rates and discount rates As there is a degree of uncertainty over these assumptions and, as with future cash flows, actual results could be higher or lower

4 2 2 Call option

The Group was granted a call option in 2024 to purchase the Dallas LoneStar (Empire) Limited holding in Empire JointStar, Inc between 2030 and 2032 No amounts were previously recognised for the call option

During the current period, the Group acquired 100% of the shareholding of Empire JointStar, Inc outside of the parameters of the call option granted by Dallas LoneStar (Empire) Limited As a result the call option has lapsed and no values were recognised in the period

4 2 3 Contingent consideration

The Group entered into an agreement in 2025 with Dallas LoneStar (Empire) Limited to acquire 100% of the shareholding in Empire JointStar, Inc As part of the agreement, and in consideration for the shareholding, the amount payable by the Group is contingent on the occurrence of one or more future events and is to be determined based on the value of the business at the time such events occur

Based on the current performance of the business and uncertainty surrounding the future performance of the business no contingent consideration has been recognised as at 1 January 2026

5. New standards and interpretations

Adoption of new standards, interpretations and amendments

The Organisation for Economic Co-operation and Development (OECD) Pillar Two Globe Rules introduce a global minimum corporate tax rate, initially at 15%, applicable to multinational enterprise (MNE) groups with global revenue over €750 million All participating OECD members are required to incorporate these rules into national legislation The UK substantially enacted legislation to apply the OECD Pillar Two Globe Rules on 20 June 2023, and these rules will apply to the Group from this accounting period Reviewing the rules, the Group's assessment is that there is unlikely to be a material impact on the amounts recognised in its consolidated financial statements

The Group has applied the temporary exception, introduced in May 2023, from the accounting requirements for deferred taxes in IAS 12, so that the Group neither recognises nor discloses information about deferred tax assets and liabilities related to Pillar Two income taxes

The Group has adopted the following amendments from 3 January 2025, being mandatorily effective for periods beginning on or after 1 January 2024

- IFRS 16 *Leases* (Amendment – Liability in a Sale and Leaseback),
- IAS 1 *Presentation of Financial Statements* (Amendment – Classification of Liabilities as Current or Non-current),
- IAS 1 *Presentation of Financial Statements* (Amendment – Non-current Liabilities with Covenants), and
- Supplier Finance Arrangements (Amendments to IAS 7 *Statement of Cash Flows* and IFRS 7 *Financial Instruments Disclosures*)

See 'Covenants' in note 22 for the new disclosure required as a result of adopting IAS 1 (Covenants) The amendment applies retrospectively but adoption had no effect on current or non-current liability classification in the prior or current period

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See note 23 for the new disclosure required as a result of adopting IAS 7 (Supplier Finance Arrangements)

The adoption of IFRS 16 (Liability in a Sale and Leaseback) had no effect on the Group's financial statements

The Group has adopted the following amendment from 3 January 2025, being mandatorily effective for periods beginning on or after 1 January 2025

- IAS 21 *The Effects of Changes in Foreign Exchange Rates* (Amendment – Lack of Exchangeability)

The adoption of IAS 21 (Amendment - Lack of Exchangeability) had no effect on the Group's financial statements

New standards, interpretations and amendments not yet effective

There are a number of standards, amendments to standards, and interpretations which have been issued by the IASB that are effective in future accounting periods that the Group has decided not to adopt early in the period ended 1 January 2026 (period beginning 3 January 2025)

The following amendments are effective for the period beginning on or after 1 January 2026

- IFRS 9 *Financial Instruments* and IFRS 7 *Financial Instruments Disclosures* (Amendments to the Classification and Measurement of Financial Instruments),
- Contracts Referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7), and
- Annual Improvements to IFRS Accounting Standards - Volume 11

The following standards are effective for the annual reporting period beginning on or after 1 January 2027

- IFRS 18 *Presentation and Disclosure in Financial Statements*, and
- IFRS 19 *Subsidiaries without Public Accountability, Disclosures*

The Group

- is still in the process of assessment the impact of the new accounting standard, but anticipates that although IFRS 18 will not have any effect on the recognition and measurement of items in the financial statements, it is expected to have a significant effect on the presentation of the Consolidated Income Statement, with changes to categorisation and subtotals,
- does not expect the amendments to IAS 21, IFRS 7 or IFRS 9 to have a significant impact on the financial statements, and
- does not expect to be eligible to apply IFRS 19

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6. Revenue

Revenue consists primarily of retail sales, subscription fees revenue and franchise royalty fee revenue and is recognised in line with the accounting policy (see note 3 3)

The Group's revenue from contracts with customers, disaggregated into geographical regions, is presented below All revenue arises from the Group's principal activity

Revenue by geographical location	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
UK & Ireland	713 5	741 3
North America	42 7	24 7
Rest of World	97 9	102 4
Total Group	**854 1**	**868 4**

Included within total revenue for the Group is £18 4 million (2024 £14 9 million) relating to franchise royalty fee revenue

Contract assets recognised relate to trade receivables from corporate customers and are disclosed as part of the trade and other receivables Please refer to note 20 for further information

Other contract assets or contract liabilities relating to deferred revenue from franchise agreements and coffee subscriptions, are considered immaterial

7. Expenses and auditor's remuneration

Operating profit/(loss) is stated after charging/(crediting)

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Depreciation and amortisation	85 5	84 6
Gain on disposal of PPE, Intangible assets and Right-of-use assets	(5 2)	(16 1)
Net impairment/(reversal of impairment) of PPE, Intangible assets and Right-of-use assets	5 8	(10 6)
Impairment of Goodwill	—	552 9
Fair value movement in put option liability	12 2	(15 4)
Adjusting items (see below)	16 3	(3 0)

Depreciation, amortisation and impairments of PPE, Intangible assets, including Goodwill, and Right-of-use assets are included in administrative expenses

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Adjusting items

During 2025, there were £15 9 million costs incurred relating to business transformation and restructuring (2024 £3 8 million) In addition, income recognised from the release of legal related provision of £1 0 million (2024 £nil) were recognised, as well as costs of £1 4 million (2024 £10 4 million net income) were incurred on the reacquisition of shops relating to the US business, which Pret had entered into a joint venture as part of the deal for their disposal in 2024

Auditor's remuneration

The following fees for audit services were payable to auditors

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
The audit of these financial statements	0 3	0 4
Audit of financial statements of subsidiaries of the Company	0 5	0 5
Total fees for audit services	0 8	0 9

The Group's fees for audit services, including those of the Company, were borne by Pret A Manger (Europe) Limited and were not recharged

There were no fees payable to auditors in respect of non-audit services in either period

8. Directors and employees

Staff costs during the period were as follows

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Wages and salaries	201 2	211 3
Social security costs	19 7	15 5
Contributions to defined contribution pension schemes	3 8	3 6
Total	**224.7**	**230.4**

The average monthly number of employees, during the period, analysed by category, was

Group	52 week period ended 1 January 2026 Number	53 week period ended 2 January 2025 Number
Management	1,213	1,271
Sales and distribution	6,318	6,894
Total	**7,531**	**8,165**

The Company has no employees and therefore no staff costs for the period (2024 none)

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Directors' remuneration

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Directors' emoluments	3 4	2 0
Highest paid Director	2 0	1 5

During 2025 the contributions to pension plans for were paid to 1 (2024 1) Director of £39,000 (2024 £38,000) During the period 2 (2024 3) directors (including the highest paid director) exercised share options under long-term incentive schemes

9. Net finance costs

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Bank and other interest	(0 3)	(0 4)
Interest on lease receivables (see note 13)	(0 6)	(0 4)
Foreign exchange gain	—	(13 1)
Total finance income	**(0.9)**	**(13 9)**
Bank and other interest	40 5	58 3
Amortisation of bank debt financing fees	5 7	6 7
Interest on lease liabilities (see note 13)	16 8	16 2
Loss on derivative valuation	4 4	5 3
Foreign exchange loss	2 2	—
Total finance costs	**69 6**	**86 5**
Net finance costs	**68.7**	**72 6**

Bank and other interest received comprise amounts received from banks on overnight deposits Bank and other interest payable comprise of amounts paid and payable to banks in respect of loans and borrowings Amortisation of bank debt financing fees is in respect of the capitalised facility arrangement fees This is in addition to costs incurred in maintaining financing facilities such as credit rating fees and commitment fees payable to lenders Details of loans and borrowings are outlined in note 22

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10. Income taxes

a) Tax recognised in the Consolidated Income Statement

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Current tax		
UK corporation tax - current tax on income for the period 25 00% (2024 25 00%)	1 4	5 0
Foreign tax suffered	0 2	0 3
Total current tax charge	1 6	5 3
Deferred tax		
Origination and reversal of timing differences	(4 1)	(27 4)
Adjustment in respect of prior periods	24 9	(5 3)
Effects of change in tax rates	0 1	0 1
Total deferred tax charge/(credit)	20 9	(32 6)
Total tax charge/(credit) recognised in the Consolidated Income Statement	22 5	(27 3)

b) Reconciliation of effective tax rate

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Loss before taxation	(32 1)	(525 2)
Taxation using the UK corporation tax rate of 25 00% (2024 25 00%)	(8 0)	(131 3)
Adjustment in respect of prior years[1]	24 9	(5 3)
Expenses not deductible for tax purposes	5 4	142 5
Tax rate changes	—	0 2
Income non taxable	(0 6)	(11 6)
Amounts not recognised	0 7	—
Previously unrecognised deferred tax assets	—	(26 0)
Group relief	(0 8)	(0 6)
Transfer pricing adjustment	(0 3)	(0 2)
Uncertain position for SBP deductions - current period	1 3	2 4
Uncertain position for SBP deductions - prior periods	—	2 6
Total tax charge/(credit)	22.5	(27 3)

[1]Please refer to note 18 for further details for the adjustments in respect of prior periods

Expenses not deductible for tax purposes in the current period predominantly relate to goodwill impairments and fair value movement on put liabilities The uncertain deduction element of the SBP charge relates to share options which are not yet delivered and for which the legislation is uncertain as to the timing of claiming a tax deduction Therefore, a provision has been included for this amount under IFRIC 23 to reflect the fact that the tax treatment is uncertain

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c) Tax recognised in other comprehensive income

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Deferred tax - foreign exchange differences	2 0	(0 5)
Total tax charge/(credit) recognised in other comprehensive income	2 0	(0 5)

d) Factors affecting the future tax charges

The UK Corporation Tax rate has increased from 19% to 25% from 1 April 2023 The rate of Corporation Tax impacts the rate at which deferred tax assets and liabilities are recognised

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11. Adjusted earnings before interest, tax, depreciation and amortisation ("Adjusted EBITDA")

Adjusted EBITDA is calculated as per the Alternative Performance Measures accounting policy (see note) and is not a defined performance measure in IFRS Standards The Group's definition of Adjusted EBITDA may not be comparable with similarly titled performance measures and disclosures by other entities All adjusting items are recorded in administrative expenses

Management have also chosen to exclude the effects of IFRS 16 for the purpose of monitoring the Group's underlying performance and has therefore presented pre-IFRS 16 EBITDA as a performance measure This is due to the different accounting treatment applied to variable payments, including turnover rent, holding-over and short-term leases in the estate under IFRS 16 IFRS 16 also tends to accelerate the total lease charge through higher interest charges on the lease liability in the earlier years of a lease

As a result of these complexities, Adjusted EBITDA including the effects of IFRS 16 does not necessarily provide a meaningful measures for the purposes of assessing performance or for trend analysis This is consistent with internal measures and reporting to key stakeholders including the Board of Directors, shareholders and the providers of finance which are on a pre-IFRS 16 basis

Reconciliation of Adjusted Performance Measures

Group	Notes	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m

Reconciliation of Operating Profit/(Loss) to pre-IFRS 16 Adjusted EBITDA

Pre-IFRS 16 Adjusted EBITDA		**98.7**	**97.5**
Effect of IFRS 16		70 3	61 7
Adjusted EBITDA		**169 0**	**159 2**
Add Reversal of impairments of PPE and Right-of-use assets	7	3 4	14 8
(Less) Impairment charge of PPE, Intangibles and Right-of-use assets	7	(9 2)	(4 2)
(Less) Impairment charge of Goodwill	7	—	(552 9)
(Less)/Add Adjusting items	7	(16 3)	3 0
(Less) Share-based payment expense	28	(12 3)	(2 2)
(Less)/Add Fair value movement in put option liability	7	(12 2)	15 4
(Less) Depreciation and amortisation of PPE, Intangibles and Right-of-use assets	7	(85 5)	(84 6)
Operating profit/ (loss) - Statutory		**36 9**	**(451 5)**

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12. Property, plant and equipment

Group	Leasehold Improvements £m	Fixtures and fittings £m	Computer Equipment £m	Total £m
Cost				
At 29 December 2023	123 1	43 3	14 1	180 5
Additions	7 5	7 0	3 0	17 5
Disposals	(14 0)	(3 0)	0 2	(16 8)
Transfer to held for sale (note 21)	(1 3)	(1 4)	(0 1)	(2 8)
Exchange differences	(0 8)	(0 3)	—	(1 1)
At 2 January 2025	114.5	45 6	17.2	177 3
Depreciation and impairment				
At 29 December 2023	(72.5)	(32 3)	(12 5)	(117 3)
Charge for the period	(9 4)	(4 8)	(1 6)	(15 8)
Disposals	12 4	1 9	0 5	14 8
Impairment	(2 0)	(0 8)	(0 2)	(3 0)
Impairment reversal	0 7	0 1	—	0 8
Transfer to held for sale (note 21)	0 9	0 7	0 1	1 7
Exchange differences	0 7	0 3	—	1.0
At 2 January 2025	(69 2)	(34 9)	(13.7)	(117 8)
Net book value 2 January 2025	45 3	10 7	3 5	59 5
Cost				
At 3 January 2025	114 5	45 6	17.2	177.3
Additions	9 3	5 4	2 3	17 0
Disposals	(18 7)	(22 9)	(2 6)	(44 2)
EJI acquisition (note 16)	6 5	1 6	—	8 1
Transfer from held for sale (note 21)	0 5	0 2	—	0 7
Exchange differences	0 5	0 2	0 0	0 7
At 1 January 2026	112 6	30 1	16.9	159 6
Depreciation and impairment				
At 3 January 2025	(69 2)	(34 9)	(13 7)	(117 8)
Charge for the period	(8 2)	(4 8)	(1 6)	(14 6)
Disposals	18 2	22 6	2 6	43 4
Impairment	(2 4)	(1 1)	(0 2)	(3.7)
Impairment reversal	0 8	0 1	—	0 9
Transfer from held for sale (note 21)	(0 5)	(0 2)	—	(0 7)
Exchange differences	(0 6)	(0 2)	—	(0 8)
At 1 January 2026	(61 9)	(18 5)	(12 9)	(93 3)
Net book value 1 January 2026	50 7	11 6	4 0	66 3

Property, plant and equipment under construction

Included within Property, Plant and Equipment are amounts relating to assets under construction, totalling £7 3 million (2024 £5 7 million)

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Impairment loss

Property, plant and equipment is reviewed for impairment in accordance with the accounting policies set out in note 3 11 In line with the accounting policy, an impairment assessment has been performed over the shops where, based on current and expected performance of the shops, indicators of impairment and impairment reversals exist as of the financial year end

Impairment and impairment reversals for property, plant and equipment and right-of-use assets are tested based on the lowest level where a group of assets generate cash, which management have determined to be a shop level Management have considered the key assumptions to support the recoverable amount to be the future trading cash flows, the discount rate and the long term growth rate

The Group's future trading cash flows for each shop cover the period of the lease term for the shop and are based on each markets budget and long-term plans Budgets are prepared at an individual shop level and forecast out over the remaining lease term in line with the long-term plan and long term growth rate The budget prepared includes the cash contribution for each shop and is adjusted for allocated support centre costs, income taxes and maintenance capital expenditure to determine the free cash flow per shop In deriving the free cash flows, contractual cash flows related to property leases are excluded when assessing the value in use Forecasts required beyond 2030 for existing shops are based on long-term average growth rates of 2 0% for all the markets

For the purposes of impairment of property, plant and equipment the recoverable amount is deemed to be the value in use, therefore the Group has applied the discount rate on a post-tax basis using the Group Weighted Average Cost of Capital of 9 75% (2024 9 50% post-tax basis) as a base and adjusting for each market Discount rates are calculated with reference to market assumptions as of the statement of financial position date for the risk-free rate, equity market risk premium, country risk premium, small firm premium, cost of debt, cost of equity and the cost of lease liabilities

The net impairment charge of property, plant and equipment of £2 8 million (2024 impairment charge of £2 2 million) has been recognised in the period

There is also a net impairment charge of the right-of-use assets of £3 1 million (2024 impairment reversal of £5 3 million) Please see note 13

13. Leases

Group as lessee

Substantially all of the Group's lease portfolio relate to properties which are used in its operations – either as shops or offices The remaining lease term for properties ranges from less than 1 year to 14 years

In addition to property leases, the Group has some equipment leases There were a small number of IT leases, which have expired in the year Additions of other leases in the year relate to leases of equipment for shops The remaining lease term for this equipment ranges from 3 years to 5 years

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Amounts recognised in the Consolidated Statement of Financial Position

Right-of-use assets

Group	Properties £m	Other £m	Total £m
Opening balance as at 29 December 2023	**272.0**	**0 6**	**272.6**
Additions	4 7	—	4 7
Reassessment and modification of leases	50 7	—	50 7
Disposals	(15 8)	—	(15 8)
Depreciation	(61 3)	(0 4)	(61 7)
Transfer to held for sale (note 21)	(2 3)	—	(2 3)
Impairment	(0 9)	—	(0 9)
Impairment reversal	6 2	—	6 2
Exchange rate differences	(1 0)	—	(1 0)
At 2 January 2025	**252.3**	**0 2**	**252.5**
Additions	15 9	7 5	23 4
EJI acquisition (note 16)	78 9	—	78 9
Reassessment and modification of leases	71 2	—	71 2
Disposals	(5 9)	—	(5 9)
Depreciation	(63 1)	(1 0)	(64 1)
Transfer from held for sale (note 21)	0 5	—	0 5
Impairment	(5 6)	—	(5 6)
Impairment reversal	2 5	—	2 5
Exchange rate differences	(1 1)	—	(1 1)
At 1 January 2026	**345.6**	**6 7**	**352 3**

Lease liabilities

Group	Properties £m	Other £m	Total £m
Opening balance as at 29 December 2023	**367 9**	**0 7**	**368 6**
Additions	4 7	—	4 7
Reassessment and modification of leases	49 8	—	49 8
Disposals	(8 2)	—	(8 2)
Interest on lease liabilities	15 6	—	15 6
Payment	(86 8)	(0 5)	(87 3)
Transfer to held for sale (note 21)	(2 5)	—	(2 5)
Exchange rate differences	(0 6)	—	(0 6)
At 2 January 2025	**339 9**	**0 2**	**340.1**
Additions	6 3	7 5	13 8
EJI acquisition (note 16)	78 9	—	78 9
Reassessment and modification of leases	69 2	—	69 2
Disposals	(5 0)	—	(5 0)
Interest on lease liabilities	16 5	0 3	16 8
Payment	(84 0)	(1 1)	(85 1)
Transfer from held for sale (note 21)	0 6	—	0 6
Exchange rate differences	(3 3)	—	(3 3)
At 1 January 2026	**419 1**	**6 9**	**426 0**
Current	102 1	1 3	103 4
Non-current	317 0	5 6	322 6
Total	**419.1**	**6 9**	**426 0**

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The maturity analysis of lease liabilities are as follows

Group	At 1 January 2026 Property £m	Other £m	Total £m
Less than one year	122 4	1 8	124 2
Between one and five years	290 3	6 2	296 5
More than five years	81.2	—	81 2
Total minimum lease payments	**493.9**	**8 0**	**501 9**
Less imputed interest	(74 8)	(1 1)	(75 9)
Total liability at end of period	**419 1**	**6 9**	**426 0**

Group	At 2 January 2025 Property £m	Other £m	Total £m
Less than one year	107 3	0 2	107 5
Between one and five years	200 2	—	200 2
More than five years	82 6	—	82 6
Total minimum lease payments	**390 1**	**0 2**	**390.3**
Less imputed interest	(50 2)	—	(50 2)
Total liability at end of period	**339.9**	**0 2**	**340.1**

Amounts recognised in the Consolidated Income Statement

The following expenses/(income) were recognised in the Consolidated Income Statement for the Group as lessee

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Depreciation expense on Right-of-use assets	64 1	61 7
Interest expense on lease liabilities	16 8	16 2
Expense relating to short-term leases	0 7	0 3
Holding over lease payments	10 2	7 1
Variable lease payments	49 5	54 3
Gain on lease modification or disposal	(3 2)	(17 1)
Total net expense recognised in the Consolidated Income Statement	**138 1**	**122 5**

Interest expense includes £nil (2024 £0 6 million) after lease liabilities were transferred to held for sale Gain on disposal includes £nil (2024 £10 4 million gain) meeting the definition as an adjusting item (see notes 3 7 and 7)

Amounts recognised in the Consolidated Statement of Cash Flows

The total cash outflows for leases during 2025 were £85 1 million (2024 £87 3 million) Additionally there was a cash outflow of £nil (2024 £4 0 million) on leases after they were transferred to held for sale

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Impairment

When indicators of impairment exist, right-of-use assets may be assessed for impairment As described in note 12 and note 14, all non-current assets were assessed at the end of 2025

Lease terms

Leases are managed by local management and accordingly, lease terms are negotiated on an individual basis and contain a considerable range of different terms and conditions The terms and conditions of property leases include, among others, extension and termination options as well as variable payments

Variable lease payments

Variable payment terms are used for a variety of reasons, including minimising the fixed cost base for shops or for reasons of margin control and operational flexibility The majority of the Group's variable payment terms are based on a range of percentages of shop sales, with some based on an index or a rate

Variable lease payments that depend on sales are expensed in the period when the condition that triggers those payments, occurs The overall financial effect of variable payment terms is that higher rental costs are incurred by shops with higher sales

Variable lease payments that are based on changes in local price indices are generally determined every 1-5 years, depending on the individual lease contract The lease liability is remeasured to reflect those revised lease payments only when there is a change in the cash flows

Guaranteed residual values

The Group does not have leases with significant guaranteed residual values None of the Group's leases impose restrictions on the Group's ability to incur additional debt or enter into additional leasing arrangements

Extension and termination options

The Group has several lease contracts that include extension and termination options These options are negotiated by management to provide flexibility in managing the leased-asset portfolio and align with the Group's business needs

Management exercises judgement in determining whether these extension and termination options are reasonably certain to be exercised and as a result included in the lease term

Potential future rental payments of £37 2 million (undiscounted) have not been included in the lease liability at the end of the period, because it is not reasonably certain that the leases will be extended (or not terminated) During the period, the financial effect of revising lease terms to reflect the effect of exercising extension and termination options was immaterial

Short term and low-value leases

The Group has a small number of leases with a lease term of 12 months or less and leases of office equipment with low value, for which it applies the 'short-term lease' and 'lease of low-value assets' recognition exemptions

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Group as intermediate lessor

The Group subleases a small number of properties Subleases have fixed rental amounts whilst some also include provisions to enable upward revision of the rental charge according to prevailing market rental amounts

Finance subleases

The majority of subleases are classified as finance leases whereby the sublease's lease term is for the majority of the lease term under the head lease of the property The remaining term for Company's finance subleases ranges from 3 to 14 years The net investment in subleases asset is included within Other receivables (see note 20)

Set out below is the carrying amounts of the net investment in subleases together with the movements during the period

Group	At 1 January 2026 £m	At 2 January 2025 £m
At the start of the period	**8 6**	**3 5**
Additions	1 3	5 4
Reassessment and modification of leases	0 5	—
Disposals	(0 1)	—
Interest on lease receivables	0 6	0 4
Payments received	(1 5)	(0 7)
At the end of the period	**9.4**	**8.6**
Current	1 2	1 7
Non-current	8 2	6 9
Total	**9 4**	**8.6**

The maturity analysis of net investment in subleases are as follows

Group	At 1 January 2026 £m	At 2 January 2025 £m
Less than one year	1 7	2 2
Between one and five years	6 5	6 2
More than five years	4 0	4 9
Total lease payments receivable	12 2	13 3
Less imputed interest	(2 8)	(4 7)
Net investment in subleases at end of period	**9 4**	**8 6**

Operating subleases

The remaining subleases are classified as operating leases whereby the sublease's lease term is not for the majority of the lease term under the head lease of the property The remaining term for Group's operating subleases is 1 to 2 years The rental income recognised by the Group during the year from operating subleases is £1 5 million (2024 £1 6 million)

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14. Intangible assets and goodwill

Group	Goodwill £m	Brand name £m	Re-acquired right £m	Software & licenses £m	Total £m
Cost					
At 29 December 2023	911 9	646 8	—	37 4	1,596 1
Additions	—	—	—	4 5	4 5
Disposals	—	—	—	0 9	0 9
Exchange differences	—	—	—	0 3	0.3
At 2 January 2025	911.9	646 8	—	43 1	1,601 8
Amortisation and impairment			—		
At 29 December 2023	—	(2 0)	—	(17 7)	(19 7)
Charge for the period	—	—	—	(7 1)	(7 1)
Disposals	—	—	—	(0 4)	(0 4)
Impairment	(552 9)	—	—	(0.5)	(553 4)
Exchange differences	—	—	—	(0 1)	(0 1)
At 2 January 2025	(552 9)	(2 0)	—	(25 8)	(580 7)
Net book value 2 January 2025	359 0	644 8	—	17 3	1,021 1
Cost					
At 3 January 2025	911 9	646 8	—	43 1	1,601 8
Additions	—	—	—	6 5	6 5
EJI acquisition (note 16)	—	—	2 8	—	2 8
Disposals	—	—	—	(3 2)	(3 2)
Reclassification	—	—	—	(0 1)	(0 1)
Exchange differences	—	—	—	(0 1)	(0.1)
At 1 January 2026	911.9	646.8	2 8	46 2	1,607 7
Amortisation and impairment					
At 3 January 2025	(552 9)	(2 0)	—	(25.8)	(580 7)
Charge for the period	—	—	(0 1)	(6 7)	(6 8)
Disposals	—	—	—	3 2	3 2
Exchange differences	—	—	—	0 1	0 1
At 1 January 2026	(552 9)	(2 0)	(0 1)	(29 2)	(584 2)
Net book value 1 January 2026	359 0	644 8	2 7	17 0	1,023 5

Research and development expenditure

Research and development expenditure recognised in profit or loss in the period was £1 0 million (2024 £1 1 million)

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Impairment testing

Goodwill and intangible assets with an indefinite useful life must be tested for impairment on at least an annual basis For the purpose of impairment testing, the goodwill and brand name recognised on the acquisition of the Pret A Manger branded trading Group has been allocated to a single group of CGUs (being a group of individual shops) given this is the level that operational decisions are made and the fact that the goodwill arose in a single business combination This is consistent with prior periods

The carrying value for the purpose of impairment testing is based on the assets and liabilities that support the operational activities of the Group The determination of recoverable amount, being the higher of value-in-use and fair value less costs to dispose, is inherently judgemental and requires management to make multiple estimates

The recoverable amount of the Group has been determined on a value-in-use basis, using discounted cash flows derived from the Group's approved new value creation and long-term plan The period over which management has projected cash flows based on financial forecasts is five years

As at 1 January 2026, management has determined a recoverable amount for the Group of £1,099 million and a carrying value of £849 million excluding assets classified as held for sale As the recoverable amount of the Group exceeds the carrying value of the Group by £250 million, no impairment is recognised for the period

As the recoverable amount determined through the value in use is higher than carrying amount of the Group, the fair value less costs to dispose have not been assessed to determine if it is higher than the calculated value in use Key assumptions in the determination of the recoverable amount include

Revenue

Revenue cash flow growth from Equity shops includes assumptions based on each market in which the Group operates Assumptions include factors around seasonality, products launches, other initiatives such as the catering platform, pricing and elasticity models, and the impact from local politics and the market growth rates in the long and short terms The determination of the value in use of the assets and liabilities is more sensitive to volume growth assumptions given that the business continues to operate in a period of transformation

Revenue cash flows from royalties are based on current franchise partner agreements, the pipeline of expected franchise shop openings and expected performance of franchise related shops

Total revenue, including franchise revenue, is expected to grow between 4% and 11% per annum for the period 2026 to 2030

EBITDA

EBITDA cash flows include the assumptions on expected operational efficiencies and initiatives taken by each market within the Group It is expected that further cost inflation will be offset with price increases with any impact in volumes adjusted in the revenue assumptions

EBITDA margin is expected to improve by 4% between 2026 and 2030

Terminal Growth Rate

A terminal growth rate of 2 0% (2024 2 0%) has been applied based on long term inflation rates of the markets in which the Group operates The growth rate does not exceed the relevant long-term average growth rate

WACC Rate

A post-tax WACC of 9 75% (2024 9 50%) has been determined with the support of a third-party expert Pre-tax, the WACC is 10 90% (2024 11 25%) The determined WACC is based on the current market assessments of optimal capital structure with reference to the risk-free rate, equity market risk premium, country risk premium, small firm premium, cost of debt, the cost of equity and the cost of lease liabilities

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Sensitivity Analysis

Changes to the assumptions used, or any deterioration in other macro or business-level assumptions supporting the Group's recoverable amount could reduce recoverable amount further and necessitate the recognition of additional impairment losses in future periods Whilst management consider the assumptions used to determine the carrying value to be appropriate, there are reasonably possible changes to key assumptions that could cause the recoverable amount to be lower and require a larger impairment

The table below shows the sensitivity of the recoverable amount to reasonable changes in key assumptions The table assumes no related response by management (e g to drive further cost savings) and is hence theoretical in nature

	2025 (£m)
Expected Revenue growth rates (2026 to 2030) adjusted by +50bps/-100bps	+25 / -49
Expected EBITDA growth rate (2026 to 2030) adjusted by +50bps/-100bps	+48 / -97
Terminal growth rate (applied from 2030) adjusted by 25bps	+36 / -34
Post-tax discount rate adjusted by 25bps	+52/ -49

The table below shows the percentage movement in the 2025 key assumptions that, individually, would be required to reach the point at which the Groups value in use approximates its carrying value

	2025
Expected Revenue growth rates	540bps decrease
Expected EBITDA growth rates	260bps decrease
Terminal growth rate (applied from 2030)	200bps decrease
Post-tax discount rate	140bps increase

15. Investment in joint venture

The Group acquired a 30% ownership interest in Empire JointStar, Inc on 1 February 2024 in exchange for the trading assets of the US shops based in New York, Philadelphia and Washington DC Empire JointStar, Inc is a franchisor of the Group The 30% ownership interest is Empire JointStar, Inc is not considered material for the Group

On 31 October 2025, the Group acquired 100% of the shareholding in Empire JointStar, Inc As a result, for the period up to 30 October 2025, the Group has continued to account for the results in the joint venture using the equity accounting principles Please refer to note 16 for the disclosure of the acquisition of Empire JointStar, Inc

The table below summarises the financial information of Empire JointStar, Inc as included in its own financial statements adjusted for differences in accounting policies The table also reconciles the summarised financial information to the carrying amount of the Group's interest in Empire JointStar, Inc up to 30 October 2025

Empire JointStar, Inc	Notes	30 October 2025 £m
Percentage ownership interest		**30%**
Net Loss from continuing operations		(0 9)
Other comprehensive income		(0 2)
Profit and total comprehensive income		(1 1)
Carrying amount of interest in joint venture as at 30 October 2025		—

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16. Business Combinations

On 31 October 2025, the Group, through Pret A Manger (USA) Limited, acquired 100% of the shareholding of its equity accounted investment in Empire JointStar, Inc The acquisition of the business was done to bring the trading stores across across New York, Philadelphia and Washington DC back into the Group in the aim to grow and expand the brand

Details of the purchase consideration, the net assets acquired and common control reserve are as follows

Purchase consideration:	£'m
Cash paid	—
Notional consideration	10 7
Contingent consideration	—
Total Purchase consideration	**10 7**

As part of the acquisition of Empire JointStar, Inc the Group agreed to acquire the business based on a future event and the value of the business at the time of that future event The consideration is payable in the event of a sale or disposal of the greater part of the Empire JointStar, Inc business and the value of the consideration will be determined based on the proceeds received as part of that disposal As at the date of acquisition and the year end, the contingent consideration is valued at £nil based on the current performance of the Empire JointStar, Inc operations as well as the uncertainty surrounding the future performance

Notional consideration includes the effect of settling the pre-existing trading balance between Empire JointStar Inc, and that the Group The balance settled consisted of working capital balances from the sale of ingredients and other good and services from the Group to the Empire JointStar, Inc which had not been settled prior to the acquisition The working capital balances were considered to be at fair value

The assets and liabilities recognised by Group as a result of the acquisition is as follows

	£'m
Cash and cash equivalents	4 5
Trade receivables	0 1
Inventories	1 2
Property, plant and equipment (see note 12)	8 1
Right-of-use assets (see note 13)	78 9
Prepayments	2 1
Other receivables	0 7
Reacquired right (see note 14)	2 8
Trade payables	(1 5)
Borrowings	(0 8)
Lease liabilities (see note 13)	(78 9)
Other payables	(5 9)
Net Identifiable Assets Acquired.	**11 3**
Fair Value of 30% holding as an equity accounted investment	—
Less Bargain Purchase Gain	0 6
Total Purchase Consideration	**10.7**

The fair value and contractual value of the acquired receivables is £0 1 million No loss allowance has been recognised on acquisition

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The bargain purchase gain represents the net assets acquired, including the future benefit assumed in the reacquired right after settling any pre-existing relationship in the form of trade payables to the Group in exchange for consideration currently valued at £nil

On acquisition, the Group recognised a re-acquired right with a value of £2 8 million (see note 14) and represents the development and operating agreement between the Group and Empire JointStar, Inc which is due to expire in January 2034

The acquired business contributed revenues of £11 8 million and a net loss of £3 8 million to the Group for the period 31 October 2025 to 1 January 2026

17. Other non-current assets

Group	1 January 2026 £m	2 January 2025 £m
Other non-current assets	5.9	6 3

Other non-current assets are deposits held by landlords

18. Deferred tax

Deferred taxation provided in the consolidated financial statements is calculated at the rate substantively enacted at the year-end for each territory

Group	1 January 2026 £m	2 January 2025 £m
At the start of the period	8 8	(23 7)
Opening balance update	—	(0 6)
(Charged)/credited to profit or loss	(20 9)	32 6
(Charged)/credited to other comprehensive income	(2 0)	0 5
(Liability)/asset at the end of the period	**(14.1)**	**8.8**

The net deferred tax (liability)/asset is made up as follows:

Group	1 January 2026 £m	2 January 2025 £m
Temporary differences trading	1 0	0 8
Temporary differences non-trading	1 0	23 9
Difference between depreciation and capital allowances	25 4	29 5
IFRS 16 - transition	0 6	0 6
Intangibles	(161 2)	(161 2)
Losses	119 1	115 2
Net deferred tax (liability)/asset	**(14 1)**	**8 8**

The above net deferred tax liability of £14 1 million (2024 net asset of £8 8 million) is disclosed in the Statement of Financial Position as a deferred tax asset of £18 7 million (2024 £14 3 million) and a deferred tax liability of £32 8 million (2024 £5 5 million)

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The Group offsets tax assets and liabilities only if it has a legally enforceable right to offset current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same tax authority

During the year, management identified that deferred tax assets of £21 7 million brought forward as at 29 December 2023 and additional deferred tax assets of £2 2 million recognised during the prior period, should have been reversed/not recognised in the prior period, under the Corporate Interest Restrictions (CIR) tax rule, when the parent entity of the Group, Pret Intermediate Company Limited, became an investment entity The tax credit recognised in the prior year of £27 3 million, should therefore have been £3 4 million Management believe that the effect on the prior period financial statements was not material As a result, no restatement of the comparative financial statements has been recognised and the amount is reversed in the current period

Unrecognised deferred tax asset

Deferred tax assets in relation to continuing operations have not been recognised in respect of the following items because it is not probable that future taxable profits will be available against which the Group can utilise the benefits in the relevant locations

Group	1 January 2026 £m	2 January 2025 £m
Property, plant and equipment	18 6	24 0
Other short-term temporary differences	78 0	50 0
Tax losses	77 4	78 8
Unrecognised deferred tax assets	**174 0**	**152 8**

The Company has no unrecognised deferred tax assets

The Group has losses where Pret is investing in new markets and for which deferred tax assets have not been recognised in the US Deferred tax assets for the following losses have not been recognised based on current available evidence as to the recoverability of those assets US losses generated by the end of 2017 are claimable up to 20 years, US losses thereafter have no expiry date

Group	1 January 2026 £m	2 January 2025 £m
Within one year	0 3	0 4
Between two and five years	1 3	1 2
After five years	18 4	18 6
No expiry	57 4	58 6
Loss expiry for which deferred tax assets have not been recognised	**77 4**	**78 8**

19. Inventories

Group	1 January 2026 £m	2 January 2025 £m
Ingredients and goods for resale	**10.0**	**9.2**

Cost of inventories recognised as expense in the period amount to £270 2 million (2024 £269 2 million) The cost of inventories expensed and written-down were included in cost of sales

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20. Trade and other receivables

Group	1 January 2026 £m	2 January 2025 £m
Non-current		
Other receivables	8 2	6 9
Current		
Trade receivables	6 2	14 1
Other taxes and social security	3 2	4 0
Other receivables	9 8	7 8
Related party receivable (see note 30)	0 3	5 1
Prepayments	10 7	9 4
Total	30 2	40 4
Total Trade and other receivables	38 4	47 3

Other receivables includes £1 2 million (2024 £1 1 million) in respect of VAT invoices not yet received and £9 4 million (2024 £8 6 million) in respect of net investment in leases (see also note 13)

21. Assets and liabilities held for sale

Group	1 January 2026 £m	2 January 2025 £m
Assets		
Property, plant and equipment, and software	—	1 1
Right-of-use assets	—	2 3
Other	—	0 4
Assets held for sale	—	3 8
Liabilities		
Lease liabilities	—	(2 5)
Other	—	(1 2)
Liabilities directly associated with assets held for sale	—	(3.7)
Net assets directly associated with disposal group	—	0 1

(Refer also notes 12 and 13)

On 23 September 2024, Pret A Manger (Europe) Limited and IceKing signed Asset Purchase Agreements to sell one shop At 2 January 2025 the shop remained in the final stages The sale did not complete resulting in the transfer of assets out of held for sale in 2025 - see transfers from held for sale in notes 12 and 13

On 23 August 2024, Pret A Manger (Europe) Limited and Exultant Food To Go Limited signed Asset Purchase Agreements to sell two shops At 2 January 2025 both shops were also in final stages The sale of one of the shops completed in January 2025 and the second completed in March 2025

At 2 January 2025 the sale of Luxham S À R L was at an advance stage of negotiations with SSP Luxembourg S A Luxham S À R L was held with an aim to sell On 28 January 2025, Luxham S À R L and SSP Luxembourg S A signed Asset Purchase Agreements to sell one shop The sale of the shop completed in February 2025

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22. Loans and borrowings

Group	1 January 2026 £m	2 January 2025 £m
Revolving credit facility drawdowns	123 6	104 8
Other short-term borrowings	8 6	9 9
Government backed loan	0 9	1 5
Total current loans and borrowings	**133 1**	**116.2**
Bank loans (net of capitalised financing fees)	420 3	410 3
Government backed loan	—	0 8
Total non-current loans and borrowings	**420 3**	**411 1**
Total loans and borrowings	**553 4**	**527 3**

Bank loans repayable are analysed as follows at the statement of financial position date

Group	1 January 2026 £m	2 January 2025 £m
Less than one year	—	—
Between one and five years	424 8	415 7
Bank loans (gross)	**424 8**	**415 7**
Capitalised financing fees	(4 5)	(5 4)
Bank loans (net)	**420 3**	**410 3**

On 4 October 2022 the Group signed a new Senior Facilities Agreement (the "New Facilities") with a group of banks

The New Facilities available to the Group comprise two term loans (Term Loan A and Term Loan B) and a Revolving Credit Facility ("RCF") totalling £800 million The New Facilities are split between Pound Sterling and Euro components, in set ratios which are required to be maintained on borrowing or repayment The ratio for Term Loan A and Term Loan B differs to that for the RCF Term Loan A was due to mature in October 2025 (3 years) Term Loan B and the RCF is due to mature in October 2027 (5 years)

On entering the New Facilities, costs of £16 million were capitalised and were being amortised over the life of the facilities

In September 2024 the Group repaid £175 million of Term Loan A including the acceleration of amortisation payments due in September 2025 and September 2026, totalling £50 million Subsequently, on 4 October 2024, the Group agreed a 1 year extension to Term Loan A for the remaining balance of £225 million with a new maturity date of October 2026

In October 2025 the Group extended the New Facilities totalling £625 million to a new maturity date of March 2029 On completion of the extension, costs of £4 7 million were capitalised and are being amortised over the life of the facilities The remaining capitalised fees on entering the New Facilities (£3 5 million) were released to profit or loss

Interest is paid on these borrowings at LIBOR + 1 75% - 3 25%, depending on the Group's leverage

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In February 2024 the Group entered into a new £10 million debt facility in order to manage certain payables There were no costs to enter into the facility and interest is charged at a flat rate of 1 35% per transaction The facility has no expiry date

Covenants

The New Facilities are subject to a Liquidity Financial Covenant followed by a Leverage Financial Covenant

To comply with the Liquidity Financial Covenant, on the last day of each month the Group must have available liquidity of at least £200 million This includes cash on hand as well as amounts not drawn down on the RCF and the shareholder standby facility (see note 30) The Liquidity Financial Covenant period ends on 30 September 2025 after which the Leverage Financial Covenant applies

The "Leverage Financial Covenant" requires that in respect of each relevant period, the Group's consolidated net leverage shall not exceed set ratios as defined in the October 2025 extension agreement Relevant periods occur quarterly commencing with the relevant period ending on 30 September 2025 For relevant periods until that ending 31 March 2027 the consolidated net leverage ratio shall not exceed 6 1

Consolidated net leverage is the ratio of total net debt to consolidated pro forma EBITDA for the last twelve months ending with the relevant period Pro forma EBITDA is required to be calculated on a pre-IFRS 16 basis, therefore IAS 17 *Leases*, as in effect prior to IFRS 16 is applied As per note 11 management have also chosen to exclude the effects of IFRS 16 for the purpose of monitoring the Group's underlying performance and has therefore presented pre-IFRS 16 EBITDA as a performance measure

The Group complied with the relevant covenants for all reporting periods up to and including 1 January 2026 and expects to comply with the covenants for the remaining term of the New Facilities, including those relevant periods within 12 months after the reporting date (see also 'Going concern' at note 2)

Swaps

On completion of the New Facilities the Group entered into £300 million 5 year interest rate swaps maturing October 2027 The objective of this hedge is to offset the variability of future payments associated with interest rates Under the terms of the swap, the Group pays a fixed interest rate of 3 967% to 3 982% per annum to the swap counterparty plus the SONIA rate applicable margin The Group receives interest from the swap counterparty at a variable rate based on 3-month SONIA

On completion of the New Facilities the Group entered into €300 million EURO GBP 1 year Cross Currency swap maturing October 2023, this swap was rolled in October 2023 to mature October 2024 on the same terms as the swap entered into previously The objective of this hedge is to offset the variability of future payments associated with foreign exchange rate movements on Euro-denominated borrowings Under the terms of the swap, the Group pays a floating interest rate based on 3 month SONIA compounding plus 3 668% per annum to the swap counterparty The Group receives interest from the swap counterparty at a variable rate based on 3-month EURIBOR plus 3 25%

In September 2024, when the Group repaid £175 million of Term Loan A, the existing €300 million Cross Currency swap was partially closed and reduced to €212 million The swap was subsequently rolled on the same terms as the existing swap and now expires in October 2026

The value of derivative financial instruments at 1 January 2026 was a liability of £3 2 million (2024 liability of £9 2 million)

Government backed loan

In 2020 Pret France SAS entered into a £5 9 million (€7 million) loan backed by the French government that was available due to the COVID-19 crisis The first year was interest free, then incurring interest at a rate between 1% to 2% The original term was one year but the extension option was taken, with the loan due to mature July 2026 Monthly amortisation payments commenced in August 2022

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Guarantees

Bank loans are secured by cross guarantees given by

- Pret Holding 2 Ltd,
- Pret A Manger Limited,
- Pret A Manger (Europe) Limited,
- Pret A Manger (Hong Kong) Limited,
- Pret A Manger (USA) Limited, and
- Pret A Manger (International) Limited

The guarantees comprise a legal charge over substantially all of the Group's assets, including a charge over shares, property, plant and equipment, receivables, insurance policies, certain contracts and claims, intellectual property and bank accounts At 1 January 2026, Group borrowings covered by the guarantee amounted to £543 9 million (2024 £515 1 million)

Letters of credit

The Group has letters of credit with landlords and suppliers in the USA and France (2024 UK, USA, Hong Kong and France)

The outstanding letters of credit relate to payment guarantees for exiting a lease early or defaulting on a supplier contract The maximum amount of the potential future liability under letters of credit is £5 3 million (2024 £7 1 million) The Group provides for any amounts that are deemed probable due to an expectation that a lease will be exited early

Reconciliation of movements of liabilities to cash flows arising from financing activities

The table below details changes in the Group's liabilities arising from financing activities, including both cash and non-cash changes Liabilities arising from financing activities are those for which cash flows were classified in the Consolidated Cash Flow Statement as cash flows from financing activities

Group	At 3 January 2025 £m	Cash inflows £m	Cash outflows £m	Foreign exchange movement £m	New leases £m	Other £m	At 1 January 2026 £m
Current loans and borrowings	116 2	184 7	(170 3)	1 7	—	0 8	133 1
Non-current loans and borrowings	411 1	—	—	9 1	—	0 1	420 3
Lease liabilities	340 1	—	(85 1)	(3 4)	92 7	81 7	426 0
Total liabilities from financing activities	**867.4**	**184 7**	**(255.4)**	**7 4**	**92.7**	**82.6**	**979 4**

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Group	At 29 December 2023 £m	Cash inflows £m	Cash outflows £m	Foreign exchange movement £m	New leases £m	Other £m	At 2 January 2025 £m
Current loans and borrowings	179 1	42 0	(100 9)	(2 5)	—	(1 5)	116 2
Non-current loans and borrowings	565 0	—	(150 6)	(10 6)	—	7 3	411 1
Lease liabilities	368 6	—	(87 3)	(0 6)	4 7	54 7	340 1
Total liabilities from financing activities	**1,112 7**	**42 0**	**(338 8)**	**(13 7)**	**4.7**	**60 5**	**867.4**

The 'Other' column includes the effect of reclassification between of current and non-current loans and borrowings, amortisation of capitalised fees, and the effect of accrued (but not yet paid) interest, modifications and transfers to held for sale for lease liabilities

23. Trade and other payables

Group	1 January 2026 £m	2 January 2025 £m
Current		
Trade payables	27 0	26 7
Other taxes and social security	14 7	17 2
Other payables	32 7	32 7
Related party payable (see note 30)	0 5	—
Accruals and deferred income	80 9	67 3
Total	**155 8**	**143 9**
Total Trade and other payables	**155.8**	**143 9**

Other payables includes £29 9 million (2024 £29 9 million) due under a supply chain financing programme As part of the programme, suppliers can elect on an invoice by invoice basis to receive a discounted early payment from a partner bank whilst the Group repays the partner bank at a later date If the option is taken the Group's liability is assigned by the supplier to be due to the partner bank rather than the supplier The value of the liability payable by the Group remains unchanged

From the Group's perspective, the arrangement does not significantly extend payment terms beyond the normal terms agreed with other suppliers, however does provide suppliers with the benefit of early payment Average days payable outstanding under the programme is 47 days When excluding the impact of supply chain financing, average days payable outstanding is 24 days

24. Other liabilities

Group	1 January 2026 £m	2 January 2025 £m
Share-based payment liabilities (note 28)	34 7	26 4
Put option liability (note 26)	24 9	18 9
Other liabilities	1 2	0 4
Total	**60 8**	**45.7**

Group	1 January 2026 £m	2 January 2025 £m
Current	40 0	27 2
Non-current	20 8	18 5
Total other liabilities	**60 8**	**45 7**

25. Provisions

Group	Legal and other provisions £m	Dilapidations provisions £m	Total £m
At 3 January 2025	**2.1**	**1.2**	**3 3**
Created during the period	0 2	9 6	9 8
Utilised during the period	—	—	—
Released during the period	(1 3)	(0 9)	(2 2)
Exchange differences	(0 1)	—	(0 1)
At 1 January 2026	**0 9**	**9 9**	**10 8**

Group	1 January 2026 £m	2 January 2025 £m
Current	2 9	3 3
Non-current	7 9	—
Total provisions	**10.8**	**3 3**

The Group is currently and may from time to time be involved in a number of legal proceedings, including inquiries from outside bodies, which are incidental to its operations and arise through the normal course of business

At 1 January 2026, the Group is holding provisions for a number of legal matters totalling £0 9 million (2024 £2 1 million) These include legal costs and penalties associated with ongoing investigations into specific operational incidents, employee related claims and other litigation brought against the Group by third parties These provisions represent a best estimate of expected penalties and legal costs associated with defending each of the claims, however these may vary Should any one of these proceedings against the Group, or a combination of more than one, be successful, or should the Group determine to settle any or a combination of these matters on unfavourable terms, it may be required to pay additional sums that could have an effect on the Group's consolidated financial position or results of operations

The remaining provisions totalling £9 9 million (2024 £1 2 million) are in respect of dilapidations, being restoration works contractually required on exit of a lease

26. Share capital and reserves

(a) Share capital

Group and Company	1 January 2026 Number	1 January 2026 £m	2 January 2025 Number	2 January 2025 £m
Ordinary shares allotted, called up and fully paid				
Opening balance	25,295,428	0 3	19,170,344	0 2
Issued for cash	15,222	—	6,125,084	0 1
Redesignation of shares	31,167	—	—	—
Closing balance	**25,341,817**	**0.3**	**25,295,428**	**0 3**

Group and Company	1 January 2026 Number	1 January 2026 £m	2 January 2025 Number	2 January 2025 £m
Series A Preferred Shares allotted, called up and fully paid				
Opening balance	601,986	—	601,986	—
Issued for cash	—	—	—	—
Redesignation of shares	(31,167)	—	—	—
Cancellation of shares	(570,819)	—	—	—
Closing balance	**—**	**—**	**601,986**	**—**

(b) Ordinary shares

Ordinary shares have a nominal value of £0 01 each All Ordinary shares rank equally for voting purposes with each member having one vote per share held Each share ranks equally for any dividend declared Each share ranks equally for any distribution made on a winding up The shares are not redeemable

Issue of Ordinary shares

In March 2024, 79,112 shares were issued for consideration of £5 0 million On second filing for this share issue in March 2025, this was corrected to 77,420 shares being issued for £4 9 million

In May 2024, 4,771 shares were issued for consideration of £0 3 million

In September 2024, 5,989,459 shares were issued for consideration of £250 0 million

In December 2024, 51,742 shares were issued for consideration of £1 4 million

In March 2025, 16,914 shares were issued at nominal value

In May 2025, 31,167 Series A Preferred Shares were redesignated to Ordinary shares at nominal value

(c) Series A Preferred shares

Series A Preferred Shares have a nominal value of £0 01 each The shares have capital distribution (including on winding up) rights but are not generally eligible for dividends They confer certain redemption and exchange rights whereby they may be converted into B Ordinary shares

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In May 2025, 31,167 Series A Preferred Shares were redesignated to Ordinary shares at nominal value and 570,819 Series A Preferred Shares were cancelled and extinguished The cancellation resulted in the £5,708 19 aggregate nominal value of the Preferred Shares that were cancelled and extinguished being credited to the distributable reserves of the Company

The terms and conditions of these shares mean that they are classified as a liability and not as equity (see note 24)

(d) Nature and purpose of reserves

Share Premium comprises amounts subscribed for share capital in excess of nominal value, net of any transaction costs

Treasury Shares comprises shares held by participants which have been acquired through a limited recourse loan as part of their participation in the Company's share-based payment schemes The limited recourse loans restrict the participants' rights to the shares until the participants' awards are settled and as such are considered to be controlled by the Company

The Foreign Currency Translation Reserve comprises all foreign exchange differences from the translation of the financial statements of foreign operations

Retained Earnings comprises all other net gains and losses and transactions with owners (e g dividends) not recognised elsewhere

On 15 April 2025, a special resolution was passed to cancel share premium amounting to £75 4 million, creating additional distributable reserves in the Company

(e) Dividends

During the period, the Company declared and distributed non pro rata interim dividends of £19 3 million (2024 £2 0 million) to Pret Holding Limited The non pro rata dividend is not declared or distributed to any shareholders other than the immediate parent company of Pret Parent Holding Limited The statutory requirements to declare a dividend were met at the date of approval

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27. Financial instruments

(a) Categories of financial assets and financial liabilities

Group	1 January 2026 £m	2 January 2025 £m
Financial assets measured at amortised cost		
Trade receivables	6 2	14 1
Related party receivable	0 3	5 1
Cash and cash equivalents	18 7	23 3
Total	25 2	42 5
Financial liabilities measured at amortised cost		
Loans and borrowings	553 4	527 3
Lease liabilities	426 0	340 1
Trade payables	27 0	26 7
Other payables	32 7	32 7
Related party payable	0 5	—
Total	1,039 6	926 8
Financial liabilities measured at fair value		
Derivatives	3 2	9 2
Put option liability	24 9	18 9
Total	28 1	28 1

(b) Fair values of financial instruments

Fair value hierarchy

The Group analyses financial instruments carried at fair value by valuation method The different levels have been defined as follows

- Level 1 quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2 inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i e , as prices) or indirectly (i e , derived from prices)
- Level 3 inputs for the asset or liability that are not based on observable market data (unobservable input)

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date There were no transfers between Level 1, Level 2 or Level 3 of the fair value hierarchy during the period

The Group did not record any material impairment charges on financial assets in the period The Group was not required to measure any significant non-financial assets and liabilities at fair value

Trade and other receivables

Trade and other receivables are carried at recoverable amounts, less provisions for any amount where recovery is doubtful All trade and other receivables are expected to be short term and therefore no discounting of value is appropriate The fair value of trade and other receivables approximate the carrying value

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Trade and other payables

Trade and other payables are carried at the face value payable All trade and other payables are expected to be short term and therefore no discounting of future cash flows is appropriate. The fair value of trade and other payables approximate the carrying value

Cash and cash equivalents

Cash and cash equivalents consist of cash at bank and in hand with an original maturity of three months or less As such, these are considered to be Level 1 instruments

Interest-bearing loans and borrowings

Fair value, which, after initial recognition is determined for disclosure purposes only, is calculated based on the expected future cash outflows The interest on bank borrowings is at market rates and as such the fair value approximates the carrying value The Group has assessed the fair value of other interest-bearing borrowings and are satisfied that the market rate of interest on similar borrowings is comparable

Derivatives

Fair value reports are provided to the Group by the counterparty to the swap arrangements The derivatives are valued using Level 1 fair value inputs

Put option liability

The put option liability is carried at fair value through the profit and loss The put option is calculated on the fair value of the Pret Parent Holding Limited shares using a market comparison technique The valuation model is based on market multiples derived for comparable companies and adjusted for factors specific to the Group as well as the Group's projected Revenue, EBITDA and current Net Debt The fair value of the shares are valued using Level 3 fair value inputs including unobservable market multiples and internal projections of revenue and EBITDA

Contingent Consideration

The contingent consideration for the acquisition of Empire JointStar Inc, is carried at fair value through the profit and loss The fair values is calculated a discounted cash flow using Level 3 fair value inputs including an unobservable WACC rate and internal cash flow projections

Other financial instruments

As a result of buying arrangements elsewhere in the Group, companies within the Group have an arrangement with the Group's main distributor to purchase foreign currencies at certain foreign exchange rates that are updated periodically This arrangement allows the Group to manage foreign exchange exposure with regards to funding its foreign trading subsidiaries This arrangement meets the criteria of an embedded derivative but is deemed immaterial and therefore not disclosed separately

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The following table shows a reconciliation from the opening balances to the closing balances for Level 3 fair values

Group	Put option liability £m
Balance as at 28 December 2023	**34.9**
Issue of shares to minority shareholders	0 2
Settlement of put options	(0 8)
Loss included in profit and loss	
- Net change in fair value (unrealised)	(15 4)
Balance as at 2 January 2025	**18 9**
Issue of shares to minority shareholders	—
Settlement of put options	(6 2)
Gain included in profit and loss	
- Net change in fair value (unrealised)	12 2
Balance as at 1 January 2026	**24 9**

The following table shows a sensitivity analysis on the Level 3 fair value inputs and the impact on the fair value of the recognised liability

	2025	
	Increase (£m)	Decrease (£m)
Market Multiples (10% movement)	-3 8	+3 8
Forecast EBITDA (10% Movement)	-3 8	+3 8
Forecast Net Debt (10% movement)	+1 3	-1 3

(c) Credit risk

Credit risk is the risk that a counterparty will default on its contractual obligations, resulting in a financial loss Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions, from Group's receivables from customers, and receivables from sublease tenants

The Group seeks to ensure that the banks used for the financing of the loan facilities have an acceptable credit rating by independent credit rating agencies

The Group's operations are principally retail and so the exposure to credit risk in minimal The Group has a calculated Expected Credit Loss ("ECL") allowance of £1 6 million (2024 £0 6 million) on financial assets carried at amortised cost The ECL is calculated in line with the Group financial instruments accounting policy (see note 3 14) A bad debt expense of £1 3 million expense was recognised during the period ended 1 January 2026 (2024 £0 5 million expense)

The Group also subleases excess space when the opportunity arises At 1 January 2026 the Group has 12 (2024 11) subleases with a rent receivable balance of £9 4 million (2024 £8 6 million)

The impairment analysis is performed at each reporting date The credit quality of each tenant is assessed individually to estimate the probability of default for the expected credit loss calculation The assessment is based on forward looking information of each tenant such as individual financial performance as well as wider economic conditions and monitoring the days past due with respect to outstanding rent

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(d) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due The Group's banking facilities are described in note 22

The Directors believe that the Group will be able to continue to meet its need for liquidity from these facilities The Group monitors its headroom monthly, forecasts its cash flow on a monthly basis for approximately a year ahead, and monitors monthly exposure to banking covenants (see note 22) in order to ensure that there are no unforeseen liquidity problems See note 2 for going concern disclosure

The following are the contractual maturities of financial liabilities In all instances, the carrying amounts reflect the discounted contractual cash flows

1 January 2026

Group	Carrying amount £m	1 year or less £m	1 to <2 years £m	2 to <5 years £m	≥5 years £m	Total £m
Non-derivative financial instruments						
Non-current loans and borrowings	420 3	—	—	420 3	—	420 3
Current loans and borrowings	132 2	132 2	—	—	—	132 2
Government backed loan	0 9	0 9	—	—	—	0.9
Lease liabilities	426 0	111 5	81 8	164 2	68 5	426 0
Trade payables	27 0	27 0	—	—	—	27 0
Other payables	32 7	32 7	—	—	—	32 7
Related party payable	0 5	0 5	—	—	—	0 5
Total	**1,039 6**	**304 8**	**81 8**	**584 5**	**68 5**	**1,039 6**

2 January 2025

Group	Carrying amount £m	1 year or less £m	1 to <2 years £m	2 to <5 years £m	≥5 years £m	Total £m
Non-derivative financial instruments						
Non-current loans and borrowings	410 3	—	—	410 3	—	410 3
Current loans and borrowings	114 7	114 7	—	—	—	114 7
Government backed loan	2 3	1 5	0 8	—	—	2 3
Lease liabilities	340 1	99 2	59 2	107 5	74 2	340 1
Trade payables	26 7	26 7	—	—	—	26.7
Other payables	32 7	32 7	—	—	—	32.7
Total	**926.8**	**274 8**	**60 0**	**517 8**	**74 2**	**926.8**

(e) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments

Market risk - foreign currency risk

The Group has operations in the UK & Ireland, North America, Europe and AMEA and also buys and sells goods and services in currencies other than sterling As a result, the value of the Group's non-sterling revenues, purchases, financial assets and liabilities and cash flows can be affected by movements in exchange rates The

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Group mitigates the exposure to these risks in foreign exchange rates by entering into short-term fixed price contracts and supplier relationship management, and regular monitoring of ingredient prices and recipes

Subsequent to completion of the New Facilities (see note 22), the Group has a significant exposure to EURO GBP exchange rates which would impact the GBP cost of repaying Euro debt drawn under the Term Loans In order to manage the risk of adverse movements in the EUR GBP exchange rate the Group entered into a €300 million EURO GBP 1 year Cross Currency swap In September 2024 when the Group repaid £175 million of Term Loan A, the existing €300 million Cross Currency Swap was partially closed and reduced to €212 million The swap was subsequently rolled by a further 1 year periods to October 2025 and October 2026 on the same terms as the swap entered into previously The swap fixes the EURO GBP foreign exchange rate to eliminate exposure to adverse movements in EURO GBP exchange rate

The swap also converts Euro interest payable on Euro Term Loan debt to GBP interest payable, eliminating the requirement to purchase Euros to satisfy interest payments under the Term Loan facilities and thus further reducing exposure to adverse EURO GBP foreign exchange rate movements The €212 million cross currency swap represents 100% of the Euro debt drawn under the Term loans Amounts drawn under the RCF are not hedged

The Group does not consider there to be any significant unmitigated foreign currency risk in relation to the Group's pre-tax result

1 January 2026

Group	Sterling £m	Euro £m	US Dollar £m	Other £m	Total £m
Cash and cash equivalents	11 6	2 7	3 7	0 7	18 7
Trade receivables	2 2	2 9	1 1	—	6 2
Related party receivable	0 3	—	—	—	0 3
Non-current loans and borrowings	(234 6)	(185 7)	—	—	(420.3)
Current loans and borrowings	(97 6)	(34 6)	—	—	(132 2)
Government backed loan	—	(0 9)	—	—	(0 9)
Lease liabilities	(274 7)	(35 8)	(106 4)	(9 1)	(426 0)
Trade payables	(22 3)	(0 9)	(3 4)	(0 4)	(27 0)
Other payables	(30 5)	(2 1)	(0 1)	—	(32 7)
Related party payable	(0 5)	—	—	—	(0 5)
Net balance sheet exposure	**(646 1)**	**(254 4)**	**(105.1)**	**(8.8)**	**(1,014 4)**

2 January 2025

Group	Sterling £m	Euro £m	US Dollar £m	Other £m	Total £m
Cash and cash equivalents	17 7	3 6	1 2	0 8	23.3
Trade receivables	5 8	4 3	4 0	—	14.1
Related party receivable	5 1	—	—	—	5 1
Non-current loans and borrowings	(233 6)	(176 7)	—	—	(410 3)
Current loans and borrowings	(86 4)	(28 3)	—	—	(114 7)
Government backed loan	—	(2 3)	—	—	(2 3)
Lease liabilities	(262 5)	(35 1)	(32 3)	(10 2)	(340 1)
Trade payables	(21 7)	(2 1)	(2 1)	(0 8)	(26.7)
Other payables	(30 6)	(2 0)	(0 1)	—	(32.7)
Net balance sheet exposure	**(606 2)**	**(238 6)**	**(29 3)**	**(10 2)**	**(884 3)**

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Sensitivity analysis

In managing currency risks, the Group aims to reduce the impact of short-term fluctuations on earnings

The following table demonstrates the sensitivity to a reasonably possible change in EUR and USD exchange rates, with all other variables held constant The impact on the Group's loss before tax is due to changes in the fair value of monetary assets and liabilities The Group's exposure to foreign currency changes to all other currencies is not material

		EUR impact		USD impact	
Group	Change in rate	Effect on profit/(loss) before tax £m	Effect on pre-tax equity £m	Effect on profit/(loss) before tax £m	Effect on pre-tax equity £m
52 week period ended	+5%	2 0	(2 0)	0 4	(0 4)
1 January 2026	-5%	(2 2)	2 2	(0 4)	0 4
53 week period ended	+5%	2 3	(2 3)	0 2	(0 2)
2 January 2025	-5%	(2 5)	2 5	(0 2)	0 2

Over the longer-term, permanent changes in foreign exchange would have an impact on consolidated earnings This impact would be mitigated by many factors both internal and external, making it impossible to estimate the final size of that impact

Market risk - interest rate risk

At the balance sheet date, the Group's interest rate risk arises predominantly on the Group's interest-bearing financial instruments as described in note 22

In order to manage the risk of rising interest rates during 2022 and on completion of the New Facilities, the Group entered into £300 million GBP 5 year Interest rate swaps maturing October 2027 This represents 53% of the Group's Gross debt at balance sheet date, and 40-70% of the Group's long term anticipated Gross Debt This will protect the Group from significant adverse movements in interest rates while enabling the Group to take advantage of lower interest rates over the medium term

Sensitivity analysis

An increase of 100 basis points in interest rates applied to the Group's bank borrowings as at 1 January 2026 would increase loss before tax for a full year by £5 5 million (2024 £5 2 million) Bank interest is deductible at the standard rate of UK tax therefore any impact on loss after tax will be reduced by 25 00% (2024 25 00%)

(f) Capital management

The Group's objective when managing capital is to facilitate the on-going trade and expansion of the Group and to safeguard its ability to continue as a going concern in order to provide returns for shareholders, and benefit for other stakeholders, and to maintain an optimal capital structure to reduce the cost of capital

The Directors look to optimise the debt and equity balance and to maintain headroom on financial covenants (see note 22) Management have continued to measure and monitor covenant compliance throughout the period and the Group complied with covenants at all test dates throughout the period

In September 2024 the Group received £250 million capital from Pret Holding Limited which was used to partially repay Term Loan A (£175 million) and reduce drawings under the £200 million Revolving Credit Facility The funding requirements of the Group will continue to be met by the utilisation of external borrowings as described in note 22 together with available cash

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28. Employee share schemes

The Company operates three share-based payment plans – an Executive Ownership Plan ("EOP") including Series A Preferred Shares, a Long-Term Incentive Plan ("LTIP") and Partners in Pret ("PIP")

As Pret Parent Holding Limited's shares are not publicly listed, the price paid per investment share is the fair market value of per share as of the most recent valuation date, as determined by the Company's Board of Directors using a nationally recognised investment bank (or other comparable valuation expert) No adjustment is made to the determined fair value for expected dividends The fair value as at 1 January 2026 is £40 49 (2 January 2025 £36 16) As at 1 January 2026, the total liability recognised in respect of these plans is £34 7 million (2024 £26 4 million)

The total share-based payment expense for the period was £12 3 million (2024 £2 2 million), including £2 2 million associated social security costs (2024 £0 4 million)

a) Executive Ownership Plan

The Executive Ownership Plan ("EOP") allows eligible employees to purchase shares in Pret Parent Holding Limited ("investment shares") The RSU's awarded under the plan vest on the 54-month anniversary of the grant date and can be redeemed after a six-month holding period

Details of the number of RSUs outstanding under the EOP are as follows

Group	RSUs Number	Weighted average grant date fair value (£)
Outstanding at 29 December 2023	392,093	63 60
Awarded during the period	158,264	43 23
Forfeited during the period	(34,897)	60 54
Exercised during the period	(18,843)	69 81
Outstanding at 3 January 2025	**496,617**	**56.99**
Awarded during the period	777	41 74
Forfeited during the period	(126,673)	58 66
Exercised during the period	—	—
Outstanding at 1 January 2026	**370,721**	**56 40**

The weighted-average remaining contractual life at the end of the period is approximately 1 1 years (2024 2 0 years) A total of 90,157 (2024 8,819) RSUs remain exercisable at the end of the period at a value of £3 6 million (2024 £1 0 million)

As part of the EOP, eligible employees are granted limited recourse loans from a Parent company to make an additional investment in Pret Parent Holding Limited The loans are repayable on exercising any vested awards and is repaid through a sale of the vested awards

During the prior period EOP members were granted with an additional award for meeting certain milestones of the Group early Part of the award included a partial waiver of the outstanding limited recourse loans

The partial waiver of the limited recourse loans provides incremental fair value of the awards as a result of less awards required to be sold in settling any outstanding loan balance The fair value is calculated as the value of the partial waiver, being the difference between the grant date fair value and modified fair value resulting in an expense of £9 6 million in the prior period

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b) Long – Term Incentive Plan

The Company operates the Long-Term Incentive Plan (the "LTIP") under which eligible employees have been granted RSUs The RSUs vest in tranches up to the 54-month anniversary of the date of grant and can be redeemed after a six-month holding period

Details of the number of RSUs outstanding under the LTIP are as follows

Group	RSUs Number	Weighted average grant date fair value (£)
Outstanding at 29 December 2023	427,709	62 42
Awarded during the period	682,677	45 31
Forfeited during the period	(19,824)	63 55
Exercised during the period	(98,788)	63 00
Outstanding at 3 January 2025	**991,774**	**50.56**
Awarded during the period	202,324	36 16
Forfeited during the period	(184,851)	53 46
Exercised during the period	(19,622)	67 10
Outstanding at 1 January 2026	**989,625**	**46.79**

The weighted-average remaining contractual life at the end of the period is approximately 1 8 years (2024 2 3 years) A total of 101,385 (2024 52,981) RSUs remain exercisable at the end of the period at a value of £4 1 million (2024 £5 0 million)

c) Partners in Pret scheme

The Company operates the Partner in Pret scheme (the "PIP"), under which eligible employees have been granted phantom shares The phantom shares vest on the 5-year anniversary of the date of grant and are settled in cash

Details of the number of phantom shares outstanding under the PIP are as follows

Group	Phantom shares Number	Weighted average grant date fair value (£)
Outstanding at 29 December 2023	91,046	61 00
Awarded during the period	26,750	63 63
Forfeited during the period	(7,357)	61 82
Exercised during the period	(5,610)	59 41
Outstanding at 3 January 2025	**104,829**	**61 70**
Awarded during the period	45,526	36 16
Forfeited during the period	(26,297)	59 35
Exercised during the period	(8,380)	59 41
Outstanding at 1 January 2026	**115,678**	**52.39**

The weighted-average remaining contractual life at the end of the period is approximately 2 7 years (2024 2 5 years) 6,400 (2024 10,000) awards as part of the Partners in Pret scheme have vested during the period

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d) Series A Preferred Shares

Series A Preferred Shares may be granted to eligible employees who participate in the Executive Ownership Plan These awards will vest on the 54-month anniversary of the date of grant The Series A Preferred Shares are subject to the ordinary shares meeting a target price on the vesting date

Details of the number of Series A Preferred Shares outstanding are as follows

Group	Series A Preferred Shares Number	Weighted average grant date fair value (£)
Outstanding at 29 December 2023	601,986	15 96
Awarded during the period	—	—
Outstanding at 3 January 2025	**601,986**	**15 96**
Awarded during the period	—	—
Forfeited during the period	—	—
Exercised during the period	(601,986)	1 87
Outstanding at 1 January 2026	**—**	**—**

During the period, the Series A Preferred Shares were modified to accelerate the vesting and amend the hurdle associated with the awards As a result, the modification was accounted for as a beneficial modification with the modified grant date method followed The fair value was calculated as the difference between the grant date fair value and the amount settled at the date of modification resulting in an additional charge of £1 1 million being recognised in the period

No awards remain outstanding as at the end of the period

29. Contingent liabilities

The Group has a number of letters of credit issued under its debt facility which are held by the Group's landlords in the event of default in respect to its lease commitments Based on a past record and future expectation of adherence to commitments, the Group has not recognised any provision for these potential liabilities beyond contractual payments already recognised as part of the lease liabilities held on the Consolidated Statement of Financial Position associated with those contracts

As part of the acquisition of Empire JointStar, Inc the Group agreed to acquire the business based on a future event and the value of the business at the time of that future event The consideration is payable in the event of a sale or disposal of the greater part of the Empire JointStar, Inc business and the value of the consideration will be determined based on the proceeds received as part of that disposal

The Group is currently and may from time to time be involved in a number of legal proceedings, including inquiries from outside bodies, which are incidental to its operations and arise through the normal course of business

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30. Related party transactions

(a) Compensation of key management personnel of the Group

Group	52 week period ended 1 January 2026 £m	53 week period ended 2 January 2025 £m
Short-term employee benefits	44	31
Post-employment pension and medical benefits	09	01
Share-based payment transactions	07	86
Total compensation paid to key management personnel	60	118

The amounts disclosed in the table are the amounts recognised as an expense during the reporting period related to key management personnel There were no outstanding remuneration balances with key management personnel as at the period end dates

(b) Transactions with owners

Committed standby facility

The Group has a shareholder standby facility to provide additional backstop liquidity At 1 January 2026 and 2 January 2025 the commitment was £200 million with an expiry date of October 2026 and was fully undrawn

(c) Transactions with other related parties

Directors' remuneration

Directors' remuneration for the current and prior period is disclosed in note 8

Loan due from/to parent

The Company and Group has loan receivables/payables with its immediate parent company, Pret Holding Limited Amounts owed between Group undertakings are short term in nature The outstanding amounts are not repayable on demand, but are generally settled within 12 months post the year end Interest is only charged on amounts where no expected credit loss provision is recognised and where amounts are not expected to be settled within 12 months The Company's outstanding payable balance at 1 January 2026 is as per note 6 of the Company's financial statements (receivable balance at 2 January 2025 per note 5 of the Company's financial statements) and included in note 23 of the consolidated financial statements (balance at 2 January 2025 per note 20 of the consolidated financial statements)

The Group has a loan receivable due from its parent company, Pret Intermediate Company Limited Amounts owed are short term in nature The outstanding amounts are not repayable on demand, but are generally expected to be settled within 12 months post the year end Interest is only charged on amounts where no expected credit loss provision is recognised and where amounts are not expected to be settled within 12 months The outstanding balance at 1 January 2026 is as per note 20 of the consolidated financial statements

The Pret Foundation (UK)

The Pret Foundation has trustees who are members of key management personnel During the period, the Group donated products with cost of £7 2 million (2024 £6 9 million) and recharged salary costs of £0 3 million (2024 £0 4 million) to the Pret Foundation As at 1 January 2026 the Group is due £0 1 million (2024 £0 1 million Group owed to the Pret Foundation) from the Pret Foundation

The Group also makes certain payments on behalf of other related parties These did not result in any impact to the Consolidated Income Statement

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Empire JointStar, Inc

The Group had a joint venture investment in Empire JointStar, Inc The Group has taken on the supply chain operations in the US and as part of those operations sold goods to Empire JointStar, Inc of £23 3 million up to the period ended 30 October 2025 (2024 £11 8 million)

On 31 October 2025, the Group acquired 100% of the shareholding of Empire JointStar, Inc after which the company is included of the consolidated results of the Group Please refer to note 16 for further information

31. Parent, ultimate parent and control

From 22 August 2024 the Company's immediate parent company is Pret Holding Limited Previously the Company's immediate parent company was Pret Intermediate Company Limited Both companies have a registered office at at 75B Verde, 10 Bressenden Place, London, SW1E 5DH

The Company's ultimate parent company and ultimate controlling party is JAB Holding Company S à r l ('JAB Holding Company'), incorporated in Luxembourg

The Company heads the largest and smallest group in which the results of the Company are consolidated

32. Subsequent events

There have been no subsequent events impacting the Company or Group

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Pret Parent Holding Limited
Company Statement of Financial Position
As at 1 January 2026

Company		1 January 2026 £m	2 January 2025 £m
Investment in subsidiaries	4	923 8	915 0
Total non-current assets		**923 8**	**915.0**
Trade and other receivables	5	1 4	1 2
Cash and cash equivalents		0 1	0 1
Total current assets		**1 5**	**1 3**
Total assets		**925 3**	**916 3**
Trade and other payables	6	(0 6)	(0 2)
Other liabilities	7	(40 0)	(27 2)
Income tax		(0 4)	(0 4)
Total current liabilities		**(41 0)**	**(27 8)**
Trade and other payables	6	(2 8)	(2 8)
Other liabilities	7	(18 6)	(15 2)
Total non-current liabilities		**(21 4)**	**(18 0)**
Total liabilities		**(62 4)**	**(45 8)**
Net assets		**862 9**	**870 5**
Share capital	3	0 3	0 3
Share premium	3	837 8	913 2
Treasury shares		(7 2)	(7 2)
Retained earnings		32 0	(35 8)
Total equity and shareholder's funds		**862 9**	**870 5**

The notes on pages 99 to 105 form part of these company financial statements

Under section 408 of the Companies Act 2006 the Company is exempt from the requirement to present its own profit and loss account The profit or loss for the Company for the period ended 1 January 2026 was a profit of £7 8 million (2024 loss of £94 0 million)

These financial statements were approved by the board of Directors on 13 May 2026 and were signed on its behalf by

DocuSigned by
Konrad Meyer
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Konrad Meyer
Director
Company Registration Number 13383544

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Pret Parent Holding Limited
Company Statement of Changes in Equity
For the 53 week period ended 1 January 2026

Company	Notes	Share capital £m	Share premium £m	Treasury shares £m	Retained earnings £m	Total equity £m
Balance at 29 December 2023 - unaudited		0.2	662 5	(13.7)	53 1	702 1
Loss for the period		—	—	—	(94 0)	(94 0)
Total comprehensive expense for the period - audited		—	—	—	(94 0)	(94 0)
Issue of share capital	3	0 1	250 1	—	—	250 2
Movement in treasury shares		—	—	6 5	—	6 5
Movement in put option		—	0.6	—	—	0 6
Capital contribution		—	—	—	6 3	6 3
Dividend	3	—	—	—	(2 0)	(2 0)
Fair value movement		—	—	—	0 8	0.8
Balance at 2 January 2025 - audited		0 3	913 2	(7 2)	(35 8)	870 5

Company	Notes	Share capital £m	Share premium £m	Treasury shares £m	Retained earnings £m	Total equity £m
Balance at 3 January 2025 - audited		0 3	913 2	(7 2)	(35.8)	870 5
Profit for the period		—	—	—	7 8	7.8
Total comprehensive income for the period - audited		—	—	—	7 8	7 8
Issue of share capital	3	—	—	—	—	—
Share premium reduction	3	—	(75 4)	—	75 4	—
Capital contribution		—	—	—	6 2	6.2
Dividend	3	—	—	—	(19 3)	(19.3)
Fair value movement		—	—	—	(2 3)	(2 3)
Balance at 1 January 2026 - audited		0 3	837 8	(7 2)	32 0	862 9

The notes on pages 99 to 105 form part of these company financial statements

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1. Accounting policies

1.1. General information

The Company financial statements present information about the Company as a separate entity and not about its Group for the 52 week period ended 1 January 2026 and were authorised for issue by the Company's Board of Directors on 13 May 2026

The principal activity of the Company is that of an investment holding company

1.2. Basis of preparation

These financial statements were prepared in accordance with Financial Reporting Standard 101 *Reduced Disclosure Framework* ("FRS 101") The Company is a qualifying entity because it is the parent of a group which prepares publicly available consolidated financial statements, being the consolidated financial statements on pages 39 to 96

In preparing these financial statements, the Company has applied the recognition, measurement and disclosure requirements of UK-adopted IFRSs but makes amendments where necessary in order to comply with Companies Act 2006

The Company has applied the exemptions available under FRS 101 in respect of the following disclosures

- Cash Flow Statement and related notes,
- Disclosures in respect of capital management,
- The effects of new but not yet effective IFRSs,
- Disclosures in respect of the compensation of Key Management Personnel

As the consolidated financial statements, on pages 39 to 96, include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures

- IFRS 2 *Share Based Payments* in respect of group settled share-based payments,
- Certain disclosures required by IAS 36 *Impairment of Assets*,
- Certain disclosures required by IFRS 13 *Fair Value Measurement* and the disclosures required by IFRS 7 *Financial Instrument Disclosures*

All financial information has been presented in millions and rounded to one decimal place, except where otherwise indicated

Measurement convention

The financial statements are prepared on the historical cost basis except that the following assets and liabilities are stated at their fair value liabilities for cash-settled share-based payments

Summary of significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these Company financial statements

Judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 2

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The Company's accounting policies, where applicable, are consistent with those for the Group With reference to the specific accounting policy of the consolidated financial statements, these are

- Foreign currencies (see note 3 2)
- Share-based payment transactions (see note 3 4)
- Income taxes (see note 3 6)
- Impairment of non-financial assets (see note 3 11), and
- Financial instruments (see note 3 14)

1.3. Investment in subsidiaries

Investments in subsidiaries are recorded at cost, which is the fair value of the consideration paid, and subsequently measured at cost less accumulated impairment losses

2. Accounting estimates and judgements

In preparing these Company financial statements, management has made judgements and estimates that affect the application of the Company's accounting policies and the reported amounts of assets, liabilities, income and expenses Actual amounts and results may differ from these estimates

The estimates and underlying assumptions are reviewed on an ongoing basis Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods

2.1. Critical judgements in applying the Company's accounting policies

In the process of applying the Company's accounting policies, management have not made any judgements which have a significant effect on the amounts recognised in the financial statements

2.2. Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial period, have been described below The accounting estimates, by definition, may change due to market changes or circumstances arising that are beyond the control of the Company Such changes are reflected in the assumptions when they occur

2 2 1 Non-financial assets impairment testing

The Company assess whether there are any indicators of impairment of investments in companies within the Group Investments in Group companies are tested for impairment when there are indicators that the carrying amounts may not be recoverable

This testing generally requires management to make multiple estimates to determine the recoverable amount of the investments, for example around individual market pressures and forces, expected future cash-inflows, terminal growth rates and discount rates

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3. Information included in the notes to the consolidated financial statements

Some of the information included in the notes to the consolidated financial statements, on pages 44 to 96, is directly relevant to the financial statements of the Company

Please refer to the following notes to the consolidated financial statements

- Note 1 - Company information
- Note 3 - As referenced in note 1 2 of the Company financial statements, some accounting policies of the Group are consistent with those of the Company
- The Company financial statements have been prepared on a going concern basis For further details of the basis of this going concern assessment, including reference to material uncertainties, please refer to note 2
- Note 7 - Auditor's remuneration
- Note 8 - Company staff numbers and staff costs
- Note 8 - Directors' remuneration
- Note 26 - number of shares issued reconciliation and rights attached to shares
- Note 26 - nature and purpose of reserves
- Note 26 - dividends
- Note 28 - share-based payments
- Note 30 - related party transactions
- Note 31 - parent, ultimate parent and ultimate controlling party
- Note 32 - subsequent events

4. Investment in subsidiaries

Company	Shares in group undertakings £m
Cost	
At 3 January 2025	1,597 0
Additions	8 8
At 1 January 2026	1,605 8
Impairment	
At 3 January 2025	(682 0)
Charge for the year	—
At 1 January 2026	(682 0)
Net book value 1 January 2026	923.8
Net book value 2 January 2025	915 0

Additions in the year are in respect of incremental investments into the Company's immediate subsidiary Pret Holding 1 Ltd and share-based payment awards granted to employees of subsidiary entities

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A full list of subsidiary undertakings is given in note 9

Impairment testing

An assessment of the carrying value of the Company's investment was performed in accordance with the accounting policies set out in note 1 2 Where indicators of impairment are present, impairment testing is performed where the recoverable amounts are determined with regards to the equity value of the investment

Based on management's assessment, no indicators of impairment were identified during the year and no impairment was recorded during the year (2024 £130 7 million)

5. Trade and other receivables

Company	1 January 2026 £m	2 January 2025 £m
Current		
Amounts owed by Group undertakings	1 4	—
Related party receivable (see note 3)	—	1 2
Total	1 4	1 2

Amounts owed by Group undertakings are short term in nature The outstanding amounts are not repayable on demand, but are generally expected to be settled within 12 months post the year end Interest is only charged on amounts where no expected credit loss provision is recognised and where amounts are not expected to be settled within 12 months

6. Trade and other payables

Company	1 January 2026 £m	2 January 2025 £m
Non-current		
Amounts owed to Group undertakings	2 8	2 8
Total	2 8	2.8
Current		
Related party payable (see note 3)	0 5	—
Accruals	0 1	0 2
Total	0 6	0 2
Total Trade and other payables	3 4	3 0

Amounts owed to Group undertakings are long term in nature and are not repayable on demand Interest is only charged on amounts where no expected credit loss provision is recognised and where amounts are not expected to be settled within 12 months

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7. Other liabilities

Company	1 January 2026 £m	2 January 2025 £m
Share-based payment liabilities (see note 3)	33 7	23 5
Put option liability (see note 3)	24 9	18 9
Total	**58 6**	**42.4**

Other liabilities included Series A Preferred Shares until their designation and cancellation during the year (see note 3)

Company	1 January 2026 £m	2 January 2025 £m
Current	40 0	27 2
Non-current	18 6	15 2
Total other liabilities	**58 6**	**42 4**

8. Financial instruments

Company	1 January 2026 £m	2 January 2025 £m
Financial assets measured at amortised cost		
Amounts owed by Group undertakings	1 4	—
Related party receivable	—	1 2
Cash and cash equivalents	0 1	0 1
Total	**1 5**	**1 3**
Financial liabilities measured at amortised cost		
Amounts owed to Group undertakings	2 8	2 8
Related party payable	0 5	—
Total	**3.3**	**2 8**
Financial liabilities measured at fair value		
Put option liability	**24.9**	**18 9**

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9. Subsidiary undertakings

The individual financial statements of the following subsidiaries are exempt from audit for the year ended 1 January 2026 under section 479A of the Companies Act 2006 This is because the Company has provided a parent guarantee under section 479C of the Companies Act 2006 to these subsidiaries

- Pret Holding 1 Limited (registered number 11415952)
- Pret Holding 2 Limited (registered number 11417685)
- Pret A Manger Limited (registered number 11391321)
- Pret A Manger (Hong Kong) Limited (registered number 04240964)
- Pret A Manger (International) Limited (registered number 14722221)
- Villiers Acquisition Limited (registered number 07448025)
- EAT Limited (registered number 03213728)
- Pret USA Limited (registered number 15839363)

The following entities are 100% owned through ordinary shares as at 1 January 2026

Name of Subsidiary undertaking	Registered Address	Country of incorporation
Pret Holding 1 Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom

The following entities are controlled indirectly through 100% owned ordinary shares as at 1 January 2026

Name of Subsidiary undertaking	Registered Address	Country of incorporation
Held via Pret Holding 1 Limited		
Pret Holding 2 Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom
Held via Pret Holding 2 Limited		
Pret A Manger Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom
Held via Pret A Manger Limited		
Pret A Manger (Europe) Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom
Held via Pret A Manger (Europe) Limited		
Pret A Manger (Hong Kong) Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom
Pret A Manger (USA) Limited	75B Verde, 10 Bressenden Place, London SW1E 5DH, United Kingdom	United Kingdom
Pret UK Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom
Pret (France) SAS	106-108 rue La Boetie, 75008, Paris, France	France
Villiers Acquisition Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom
Belneuve SRL	Boulevard du Jardin Botanique 13A, 1000 Bruxelles, Belgium	Belgium
Luxham s.à r l	10A, Rue Aldringen, L-1118 Luxembourg	Luxembourg
Pret A Manger (International) Limited	75B Verde, 10 Bressenden Place London, SW1E 5DH, United Kingdom	United Kingdom
Pret USA Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom
Pret A Manger AMEA Services FZCO ^	Unit No O5-PT-CWC171, Detached Retail O5, Plot No Level No 1, Jumeirah Lakes Towers, Dubai, United Arab Emirates	United Arab Emirates
Held via Pret A Manger (Hong Kong) Limited		
Pret (Hong Kong) Limited	Room 1503, 15/F 18 Hysan Avenue, Causeway Bay, Hong Kong, Hong Kong	Hong Kong
Held via Villiers Acquisition Limited		
EAT Limited	75B Verde, 10 Bressenden Place, London, SW1E 5DH, United Kingdom	United Kingdom

^ - Incorporated on 24 October 2025

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Villiers Topco Limited, which was a subsidiary undertaking held by Pret A Manger (Europe) Limited at 2 January 2025, was dissolved on 5 June 2025 Villiers Midco Limited, EAT 2008 Limited and EAT The Real Food Company Limited, which were subsidiary undertakings held by Villiers Topco Limited at 2 January 2025, were dissolved on 20 April 2025, 3 June 2025 and 20 April 2025 respectively

The registered office address of all the following subsidiaries, held directly or indirectly via Pret A Manger (USA) Limited, is 350 5th Avenue, 17th Floor NY 10118, United States The exception is Empire JointStar, Inc , which has a registered office address of 1209 Orange Street, City of Wilmington, County of Newcastle, Delaware 19801 The country of incorporation of all subsidiaries is the United States of America

Name of subsidiary undertaking		
Held via Pret A Manger (USA) Limited		
Empire JointStar, Inc ~	Pret 299 Seventh Avenue Inc	Pret 73 West Monroe, Inc
Pret 100 Central Park South Inc	Pret 300 Park Avenue, Inc.	Pret 750 Eighth Avenue Inc
Pret 101 Arch Street Inc	Pret 301 Pennsylvania Avenue Inc	Pret 757 Third Inc
Pret 1020 Sixth Avenue, Inc	Pret 303 Park Avenue South Inc	Pret 853 Broadway, Inc
Pret 11 West 42, Inc	Pret 360 Longwood Avenue Inc	Pret Chicago Union Station Inc
Pret 122 East 42, Inc	Pret 425 Madison Inc	Pret Newport, Inc
Pret 125 Chambers Street Inc	Pret 437 Fifth Avenue Inc	Pret One State Street Inc
Pret 1399 New York Avenue, Inc	Pret 50 Broadway Inc	Pret Rock, Inc.
Pret 185 Franklin Street, Inc	Pret 500 West Madison Street (2) Inc	Pret Union Station, Inc
Pret 24 West 23rd Inc	Pret 600 Lexington Avenue Inc	Pret Woodbury Commons Inc
Held via Empire JointStar Inc +		
Pret 100 Church Street, Inc	Pret 825 Eighth Avenue Inc	Pret 2955 Broadway Inc
Hudson Yards Main LLC	Pret 342 7th, Inc	Pret 205 East 42nd Street Inc.
JFK T8 Main LLC	Pret 1825 Eye Street, Inc	Pret 1756 Broadway, Inc
Pret 655 Sixth Avenue Inc	Pret 857 Broadway, Inc	Pret West Street Tower One Inc
Pret 62 West 45th Inc	Pret 1200 Avenue of the Americas Inc	Pret 319 Broadway Inc
Pret 2 Park Avenue, Inc	Pret 425 Lex, Inc	Pret Penn Station 2 Inc
Pret 400 Park Avenue South Inc	Pret 485 Lexington, Inc	JFK T1 Main LLC
Pret 11th and F Street DC, Inc	Pret 655 Third Avenue, Inc	Belmont Park LLC
Pret 30th Street Station Inc	Pret 1410 Broadway, Inc	

~ - at 2 January 2025 had been an investment in joint venture (see consolidated financial statements note 15)
+ - Held from 31 October 2025 on acquisition (see consolidated financial statements note 15)